



DAMBI DOLLO UNIVERSITY

COLLEGE OF BUSINESS AND ECONOMICS

DEPARTMENT OF ECONOMICS

EXIT EXAM SAMPLE QUESTIONS

MAY, 2023

DAMBI DOLLO, ETHIOPIA

Macroeconomics and Microeconomics exit exam Sample

Multiple Choice

Identify the letter of the choice that best completes the statement or answers the question.

1. Keynes's liquidity preference theory of the interest rate suggests that the interest rate is determined by
 - A. Aggregate supply and aggregate demand.
 - B. The supply and demand for loanable funds.
 - C. The supply and demand for money.
 - D. The supply and demand for labor.

ANSWER: C

2. When money demand is expressed in a graph with the interest rate on the vertical axis and the quantity of money on the horizontal axis, an increase in the interest rate
 - A. Decreases the quantity demanded of money.
 - B. Increases the quantity demanded of money.
 - C. Decreases the demand for money.
 - D. Increases the demand for money.

ANSWER: A

3. When the supply and demand for money are expressed in a graph with the interest rate on the vertical axis and the quantity of money on the horizontal axis, an increase in the price level
 - A. Shifts money demand to the right and increases the interest rate.
 - B. Shifts money demand to the right and decreases the interest rate.
 - C. Shifts money demand to the left and increases the interest rate.
 - D. Shifts money demand to the left and decreases the interest rate.

ANSWER: A

4. For the Eurozone countries, the most important source of the downward slope of the aggregate demand curve is probably
 - A. The wealth effect.
 - B. The exchange-rate effect.
 - C. The fiscal effect.
 - D. The interest-rate effect.

ANSWER: D

5. In the market for real output, the initial effect of an increase in the money supply is to
 - A. Shift the aggregate supply curve to the right.
 - B. Shift the aggregate supply curve to the right.
 - C. Shift the aggregate demand curve to the left.

D. Shift the aggregate demand curve to the right.

ANSWER: D

6. The initial effect of an increase in the money supply is to
- A. Increase the interest rate.
 - B. Increase the price level.
 - C. Decrease the price level.
 - D. Decrease the interest rate.

ANSWER: D

7. The long-run effect of an increase in the money supply is to
- A. Increase the interest rate.
 - B. Decrease the price level.
 - C. Increase the price level.
 - D. Decrease the interest rate.

ANSWER: C

8. Suppose a wave of investor and consumer pessimism in the USA causes a reduction in spending. If the US Federal Reserve (which has a broader remit than the Bank of England which is charged only with controlling inflation) chooses to engage in activist stabilization policy, it should
- A. Increase government spending and decrease taxes.
 - B. Decrease the money supply.
 - C. Decrease government spending and increase taxes.
 - D. Decrease interest rates.

ANSWER: D

9. The initial impact of an increase in government spending is to shift
- A. Aggregate demand to the right.
 - B. Aggregate demand to the left.
 - C. Aggregate supply to the right.
 - D. Aggregate supply to the left.

ANSWER: A

10. If the marginal propensity to consume MPC is 0.75, the value of the multiplier is
- A. 4
 - B. 7.5
 - C. 5
 - D. 0.75

ANSWER: A

11. An increase in the marginal propensity to consume (MPC)
- A. Raises the value of the multiplier.
 - B. Has no impact on the value of the multiplier.
 - C. Rarely occurs because the MPC is set by congressional legislation.
 - D. Lowers the value of the multiplier.

ANSWER: A

12. Suppose a wave of investor and consumer optimism has increased spending so that the current level of output exceeds the long-run natural rate. If policy makers choose to engage in activist stabilization policy, they should
- A. Decrease government spending, which shifts the aggregate demand curve to the left.
 - B. Decrease taxes, which shifts the aggregate demand curve to the right.
 - C. Decrease taxes, which shifts the aggregate demand curve to the left.
 - D. Decrease government spending, which shifts the aggregate demand curve to the right.

ANSWER: A

13. When an increase in government purchases raises incomes, shifts money demand to the right, raises the interest rate, and lowers investment, we have seen a demonstration of
- A. Supply-side economics.
 - B. The crowding-out effect.
 - C. The multiplier effect.

ANSWER: B

14. Which of the following statements regarding taxes is correct?
- A. Most economists believe that, in the short run, the greatest impact of a change in taxes is on aggregate supply, not aggregate demand.
 - B. An increase in taxes shifts the aggregate demand curve to the right.
 - C. A decrease in taxes shifts the aggregate supply curve to the left.
 - D. A permanent change in taxes has a greater effect on aggregate demand than a temporary change in taxes.

ANSWER: D

15. Suppose the government increases its purchases by £16 billion. If the multiplier effect exceeds the crowding-out effect, then
- A. The aggregate supply curve shifts to the right by more than £16 billion.
 - B. The aggregate demand curve shifts to the left by more than £16 billion.
 - C. The aggregate demand curve shifts to the right by more than £16 billion.
 - D. The aggregate supply curve shifts to the left by more than £16 billion.

ANSWER: C

16. When an increase in government purchases increases the income of some people, and those people spend some of that increase in income on additional consumer goods, we have seen a demonstration of
- A. The multiplier effect.
 - B. Supply-side economics.
 - D. The crowding-out effect.

ANSWER: A

17. Which of the following is an automatic stabilizer?
- A. Spending on public schools
 - B. Military spending
 - C. All of these answers are automatic stabilizers.
 - D. Spending on the space shuttle
 - E. Unemployment benefits

ANSWER: E

18. Which of the following statements about stabilization policy is not true?
- A. The UK government has given control of interest rates, a key tool of activist stabilization policy, to the Bank of England.
 - B. Many economists prefer automatic stabilizers because they affect the economy with a shorter lag than activist stabilization policy.
 - C. None of these answers is true.
 - D. Long lags enhance the ability of policy makers to fine-tune the economy.
 - E. When policy makers implement activist stabilization policies, there is a significant risk that their policies may actually have a destabilizing effect.

ANSWER: D

19. Which of the following best describes how an increase in the money supply shifts the aggregate demand curve?
- A. The money supply shifts right, prices fall, spending increases, and the aggregate demand curve shifts right.
 - B. The money supply shifts right, the interest rate rises, investment decreases, and the aggregate demand curve shifts left.
 - C. The money supply shifts right, the interest rate falls, investment increases, and the aggregate demand curve shifts right.
 - D. The money supply shifts right, prices rise, spending falls, and the aggregate demand curve shifts left.

ANSWER: C

20. Which of the following statements about economic fluctuations is true?
- A. None of these answers
 - B. A depression is a mild recession.
 - C. A variety of spending, income, and output measures can be used to measure economic fluctuations because most macroeconomic quantities tend to fluctuate together.
 - D. A recession is when output rises above the natural rate of output.
 - E. Economic fluctuations have been termed the "business cycle" because the movements in output are regular and predictable.

ANSWER: C

21. According to the interest rate effect, aggregate demand slopes downward (negatively) because
- A. Lower prices increase money holdings, decrease lending, interest rates rise, and investment spending falls.
 - B. Lower prices increase the value of money holdings and consumer spending increases.
 - C. Lower prices decrease the value of money holdings and consumer spending decreases.
 - D. Lower prices reduce money holdings, increase lending, interest rates fall, and investment spending increases.

ANSWER: D

22. Which of the following would not cause a shift in the long-run aggregate supply curve?
- a. All of these answers shift the long-run aggregate supply curve.
 - b. An increase in the available capital
 - c. An increase in the available labor
 - d. An increase in the available technology
 - e. An increase in price expectations

ANSWER: E

23. Which of the following is not a reason why the aggregate demand curve slopes downward?
- A. The exchange-rate effect
 - B. The wealth effect.
 - C. The classical dichotomy/monetary neutrality effects.
 - D. The interest-rate effect
 - E. All of these answers are reasons why the aggregate-demand curve slopes downward.

ANSWER: C

24. In the model of aggregate demand and aggregate supply, the initial impact of an increase in consumer optimism is to
- A. Shift the short-run aggregate supply curve to the left.
 - B. Shift the aggregate demand curve to the right.
 - C. Shift the short-run aggregate supply curve to the right.
 - D. Shift the aggregate demand curve to the left.

E. Shift the long-run aggregate supply curve to the left.

ANSWER: B

25. Which of the following statements is true regarding the long-run aggregate supply curve? The long-run aggregate supply curve
- A. Is vertical because an equal change in all prices and wages leaves output unaffected.
 - B. Is positively sloped because price expectations and wages tend to be fixed in the long run.
 - C. Shifts right when the government raises the minimum wage.
 - D. Shifts left when the natural rate of unemployment falls.

ANSWER: A

26. According to the wealth effect, aggregate demand slopes downward (negatively) because
- A. Lower prices increase the value of money holdings and consumer spending increases.
 - B. Lower prices decrease the value of money holdings and consumer spending decreases.
 - C. Lower prices reduce money holdings, increase lending, interest rates fall, and investment spending increases.
 - D. Lower prices increase money holdings, decrease lending, interest rates rise, and investment spending falls.

ANSWER: A

27. The natural rate of output is the amount of real GDP produced
- A. When the economy is at the natural rate of unemployment.
 - B. When the economy is at the natural rate of investment.
 - C. When the economy is at the natural rate of aggregate demand.
 - D. When there is no unemployment.

ANSWER: A

28. Suppose the price level falls but because of fixed nominal wage contracts, the real wage rises and firms cut back on production. This is a demonstration of the
- A. Sticky-wage theory of the short-run aggregate supply curve.
 - B. Classical dichotomy theory of the short-run aggregate supply curve.
 - C. Misperceptions theory of the short-run aggregate supply curve.
 - D. Sticky-price theory of the short-run aggregate supply curve.

ANSWER: A

29. Suppose the price level falls but suppliers only notice that the price of their particular product has fallen. Thinking there has been a fall in the relative price of their product, they cut back on production. This is a demonstration of the
- A. Misperceptions theory of the short-run aggregate supply curve.
 - B. Classical dichotomy theory of the short-run aggregate supply curve.
 - C. Sticky-price theory of the short-run aggregate supply curve.
 - D. Sticky-wage theory of the short-run aggregate supply curve.

ANSWER: A

30. Suppose the economy is initially in long-run equilibrium. Then suppose there is a increase in military spending due to rising international tensions. According to the model of aggregate demand and aggregate supply, what happens to prices and output in the short run?
- A. Prices fall; output rises.
 - B. Prices fall; output falls.
 - C. Prices rise; output falls.
 - D. Prices rise; output rises.

ANSWER: D

31. Suppose the economy is initially in long-run equilibrium. Then suppose there is a increase in military spending due to rising international tensions. According to the model of aggregate demand and aggregate supply, what happens to prices and output in the long run?
- A. Output falls; prices are unchanged from the initial value.
 - B. Prices fall; output is unchanged from its initial value.
 - C. Output and the price level are unchanged from their initial values.
 - D. Prices rise; output is unchanged from its initial value.
 - E. Output rises; prices are unchanged from the initial value.

ANSWER: D

32. Suppose the economy is initially in long-run equilibrium. Then suppose there is a drought that destroys much of the wheat crop. According to the model of aggregate demand and aggregate supply, what happens to prices and output in the short run?
- A. Prices rise; output falls.
 - B. Prices fall; output rises.
 - C. Prices rise; output rises.
 - D. Prices fall; output falls.

ANSWER: A

33. Suppose the economy is initially in long-run equilibrium. Then suppose there is a drought that destroys much of the wheat crop. If policymakers allow the economy to adjust to long-run equilibrium on its own, according to the model of aggregate demand and aggregate supply, what happens to prices and output in the long run?
- A. Output rises; prices are unchanged from the initial value.
 - B. Output and the price level are unchanged from their initial values.
 - C. Output falls; prices are unchanged from the initial value.
 - D. Prices fall; output is unchanged from its initial value.
 - E. Prices rise; output is unchanged from its initial value.

ANSWER: B

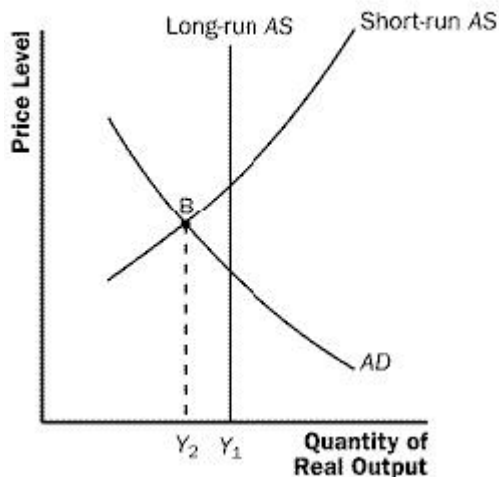
34. Stagflation occurs when the economy experiences
- A. Rising prices and rising output.
 - B. Rising prices and falling output.
 - C. Falling prices and falling output.
 - D. Falling prices and rising output.

ANSWER: B

35. Which of the following events shifts the short-run aggregate supply curve to the right?
- A. a decrease in the money supply
 - B. a drop in oil prices
 - C. an increase in government spending on military equipment
 - D. none of these answers
 - E. an increase in price expectations

ANSWER: B

36. Exhibit 4

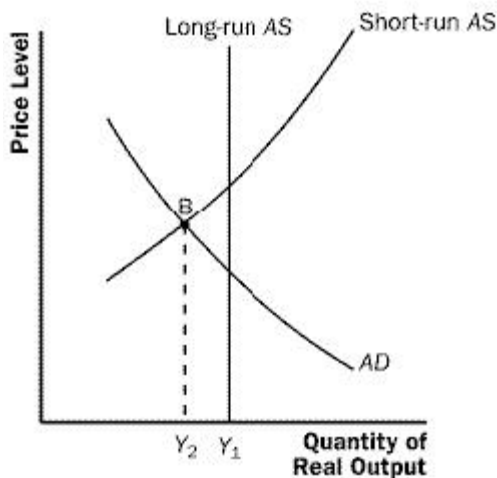


Refer to Exhibit 4. Suppose the economy is operating in a recession such as point B in Exhibit 4. If policymakers wished to move output to its long-run natural rate, they should attempt to

- A. Shift aggregate demand to the left.
- B. Shift short-run aggregate supply to the left.
- C. Shift aggregate demand to the right.
- D. Shift short-run aggregate supply to the right.

ANSWER: C

37. Exhibit 4



Refer to Exhibit 4. Suppose the economy is operating in a recession such as point B in Exhibit 4. If policymakers allow the economy to adjust to the long-run natural rate on its own,

- A. People will reduce their price expectations and the short-run aggregate supply will shift right.
- B. People will raise their price expectations and aggregate demand will shift left.
- C. People will raise their price expectations and the short-run aggregate supply will shift left.
- D. People will reduce their price expectations and aggregate demand will shift right.

ANSWER: A

38. According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause
- A. Prices to rise and output to rise.
 - B. Prices to fall and output to remain unchanged.
 - C. Prices to fall and output to fall.
 - D. Prices to rise and output to remain unchanged.

ANSWER: D

39. Policy makers are said to "accommodate" an adverse supply shock if they
- A. Fail to respond to the adverse supply shock and allow the economy to adjust on its own.
 - B. Respond to the adverse supply shock by decreasing aggregate demand, which lowers prices.
 - C. Respond to the adverse supply shock by decreasing short-run aggregate supply.
 - D. Respond to the adverse supply shock by increasing aggregate demand, which further raises prices.

ANSWER: D

40. An example of a transfer payment is
- A. Profit.
 - B. Rent.
 - C. Unemployment benefits.
 - D. Government purchases.
 - E. Wages.

ANSWER: C

41. The value of plant and equipment worn out in the process of manufacturing goods and services is measured by
- A. Intermediate production.
 - B. Net National Product.
 - C. Investment.
 - D. Depreciation.
 - E. Consumption.

ANSWER: D

42. Gross Domestic Product can be measured as the sum of
- A. Final goods and services, intermediate goods, transfer payments, and rent.
 - B. Consumption, investment, government purchases, and net exports.
 - C. Consumption, transfer payments, wages, and profits.
 - D. Net National Product, Gross National Product, and Disposable personal income.
 - E. Investment, wages, profits, and intermediate production.

ANSWER: B

43. Gross Domestic Product is the sum of the market value of the
- A. Intermediate goods.
 - B. Final goods and services.
 - C. Manufactured goods.
 - D. Inferior goods and services.
 - E. Normal goods and services.

ANSWER: B

44. If nominal GDP in 2005 exceeds nominal GDP in 2004, then the production of output
- A. Must have fallen.
 - B. Must have risen.
 - C. Must have stayed the same.
 - D. May have risen, fallen, or stayed the same because there is not enough information to determine what happened to real output.

ANSWER: D

45. If a cobbler buys leather for €100 and thread for €50 and uses them to produce and sell €500 worth of shoes to consumers, the contribution to GDP is
- A. €50.
 - B. €100.
 - C. €650.
 - D. €500.
 - E. €600.

ANSWER: D

46. GDP would include which of the following?
- A the value of taking a day off from work
 - B. consulting services
 - C. intermediate sales
 - D. illegal drug sales
 - E. Housework

ANSWER: B

47. Real GDP is measured in _____ prices while nominal GDP is measured in _____ prices.
- A. foreign; domestic
 - B. current year; base year
 - C. domestic; foreign
 - D. base year; current year
 - E. intermediate; final

ANSWER: D

48. Figure 1

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	120	14	70

- A. €800
- B. €1,200
- C. €1,460
- D. €1,060

ANSWER: B

59. Figure 1

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	20	14	70

Refer to Figure 1. What is the percentage increase in prices from 2003 to 2004?

- A. 16 percent
- B. 22 percent
- C. 13 percent
- D. 0 percent
- E. 38 percent

ANSWER: C

51. Figure 1

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	120	1	70

Refer to Figure 1. What is the approximate percentage increase in prices from 2004 to 2005?

- A. 13 percent
- B. 0 percent
- C. 16 percent
- D. 38 percent
- E. 22 percent

ANSWER: E

52. Figure 1

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	120	14	70

Refer to Figure 1. What is the percentage increase in real GDP from 2004 to 2005?

- A. 27 percent
- B. 7 percent
- C. 32 percent
- D. 0 percent
- E. 22 percent

ANSWER: D

53. If UK GDP exceeds UK GNP, then

- A. Intermediate production exceeds final production.
- B. Foreigners are producing more in the UK than Britons are producing in foreign countries.
- C. Real GNP exceeds nominal GNP.
- D. Real GDP exceeds nominal GDP.
- E. Britons are producing more in foreign countries than foreigners are producing in the UK.

ANSWER: B

54. UK GDP would exclude which of the following?

- A. Lawyer services purchased by a home buyer.
- B. The purchase of a new Nissan produced in Sunderland.
- C. Copper purchased by tap manufacturer Bristan.
- D. A new art gallery purchased by the city of Newcastle.
- E. Lawn care services purchased by a home owner.

ANSWER: C

55. How is your purchase of a €40,000 BMW automobile that was produced entirely in Germany recorded in the UK GDP accounts?

- A. Consumption increases by €40,000 and net exports decreases by €40,000.
- B. Net exports increases by €40,000.
- C. There is no impact because this transaction does not involve domestic production.
- D. Investment increases by €40,000 and net exports increases by €40,000.

E. Net exports decreases by €40,000.

ANSWER: A

56. If your grandparents buy a newly built retirement home, this transaction would affect
- A. Investment.
 - B. Net exports.
 - C. Government purchases.
 - D. Consumption.
 - E. None of these answers.

ANSWER: A

57. An economy that interacts with other economies is known as
- A. An export economy.
 - B. A friendly economy.
 - C. An open economy.
 - D. A balanced trade economy.
 - E. An import economy.

ANSWER: C

58. Each of the following is a reason why international trade has expanded in recent decades except which one?
- A. Technological improvements have meant that countries have become more similar in terms of the goods they can produce.
 - B. Many new high technology goods have been introduced for which the cost of transport relative to the value of the product is low.
 - C. There have been improvements in technology that have improved telecommunications between countries.
 - D. Policy makers have promoted policies to increase international trade, such as the General Agreement on Tariffs and Trade, and subsequently established the World Trade Organization.
 - E. Larger cargo ships and aeroplanes have reduced the cost of transporting goods.

ANSWER: A

59. Which of the following statements is true about a country with a trade deficit?
- A. Net exports are negative.
 - B. Net capital outflow must be positive.
 - C. Exports exceed imports.
 - D. Net exports are positive.
 - E. none of these answers

ANSWER: A

60. Which of the following is an example of foreign direct investment?
- A. General Motors buys steel from South Korea.
 - B. General Motors of the USA buys shares in Saab of Sweden.
 - C. McDonald's builds a restaurant in Moscow.
 - D. UK publisher Bloomsbury sells the rights to make a film of a Harry Potter book to an American film studio.

ANSWER: C

61. If Japan exports more than it imports,
- A. Japan's net exports are negative.
 - B. Japan is running a trade deficit.
 - C. Japan's net capital outflow must be positive.
 - D. Japan's net capital outflow must be negative.

ANSWER: C

62. If the USA saves \$1,000 billion and US net capital outflow is - \$200 billion, US domestic investment is
- A. \$800 billion.
 - B. \$1,200 billion.
 - C. -\$200 billion.
 - D. \$1,000 billion.
 - E. \$200 billion.

ANSWER: B

63. If the exchange rate changes from 3 Brazilian reais per dollar to 4 reais per euro,
- A. The euro has appreciated.
 - B. The euro has depreciated.
 - C. The euro could have appreciated or depreciated depending what happened to relative prices in Brazil and the Eurozone countries.

ANSWER: A

64. Suppose the real exchange rate between Russia and the UK is defined in terms of bottles of Russian vodka per bottle of UK vodka. Which of the following will increase the real exchange rate (that is, increase the number of bottles of Russian vodka per bottle of UK vodka)?
- A. an increase in the price in pounds of UK vodka
 - B. None of the changes described in these answers will increase the real exchange rate.
 - C. an increase in the number of roubles for which the pound can be exchanged
 - D. All of the changes described in these answers will increase the real exchange rate.
 - E. a decrease in the price in roubles of Russian vodka

ANSWER: D

65. The most accurate measure of the international value of the UK pound is
- A. An exchange rate index that accounts for many exchange rates.
 - B. The yen/pound exchange rate.
 - C. The pound/dollar exchange rate.
 - D. The euro/pound exchange rate.
 - E. The Swiss franc/pound exchange rate.

ANSWER: A

66. If the nominal exchange rate between UK pounds and US dollars is 0.5 pound per dollar, how many dollars can you get for a pound?
- A. 1.5 dollars
 - B. 0.5 of a dollar
 - C. 1 dollar
 - D. 2 dollars
 - E. none of these answers

ANSWER: D

67. Suppose the nominal exchange rate between the Japanese yen and the UK pound is 100 yen per pound. Further, suppose that a kilogram of rice costs £2 in the UK and 250 yen in Japan. What is the real exchange rate between Japan and the UK?
- A. 2.5 kilograms of Japanese rice per kilogram of UK rice
 - B. 0.5 kilograms of Japanese rice per kilogram of UK rice
 - C. none of these answers
 - D. 1.25 kilograms of Japanese rice per kilogram of UK rice
 - E. 0.8 kilograms of Japanese rice per kilogram of UK rice

ANSWER: E

68. Which of the following people or firms would be pleased by a depreciation of the pound?
- A. All the people and firms mentioned in these answers.
 - B. A French exporter of wine to the UK.
 - C. An American tourist visiting London.
 - D. A UK importer of French wine.
 - E. A UK company that wishes to expand abroad by building a factory in Poland.

ANSWER: C

69. Suppose a cup of coffee is 1.5 euros in Germany and £0.50 in the UK. If purchasing power parity holds, what is the nominal exchange rate between euros and pounds?
- A. 3 euros per pound
 - B. 1.5 euros per pound
 - C. 0.75 euro per pound
 - D. 1/3 euro per pound

ANSWER: A

70. Which of the following products would likely be the least accurate if used to calculate purchasing power parity?
- A. Diamonds
 - B. Gold
 - C. Cars
 - D. Wheat
 - E. Dental services

ANSWER: E

71. Suppose the money supply in Mexico grows more quickly than the money supply in the USA. We would expect that
- A. The Mexican peso should appreciate relative to the US dollar.
 - B. The Mexican peso should depreciate relative to the US dollar.
 - C. The Mexican peso should maintain a constant exchange rate with the US dollar because of purchasing power parity.

ANSWER: B

72. When people take advantage of differences in prices for the same good by buying it where it is cheap and selling it where it is expensive, it is known as
- A. Net exports.
 - B. Purchasing power parity.
 - C. Net capital outflow.
 - D. Currency appreciation.
 - E. Arbitrage.

ANSWER: E

73. Suppose a resident of the USA buys a Jaguar car from the UK, and the UK exporter uses the receipts to buy shares in Boeing. Which of the following statements is true from the perspective of the UK?
- A. Net exports fall, and net capital outflow rises.
 - B. Net exports rise, and net capital outflow rises.
 - C. none of these answers
 - D. Net exports rise, and net capital outflow falls.
 - E. Net exports fall, and net capital outflow falls.

ANSWER: B

74. Which of the following statements is not true about the relationship between national saving, investment, and net capital outflow?
- A. An increase in saving associated with an equal increase in net capital outflow leaves domestic investment unchanged.
 - B. For a given amount of saving, an increase in net capital outflow must decrease domestic investment.
 - C. For a given amount of saving, a decrease in net capital outflow must decrease domestic investment.
 - D. Saving is the sum of investment and net capital outflow.

ANSWER: C

75. Which of the following is not a function of money?
- a. hedge against inflation
 - b. medium of exchange
 - c. unit of account
 - d. store of value

ANSWER: A

76. An example of fiat money is
- A. Paper euros.
 - B. Gold.
 - C. Silver coins.
 - D. Cigarettes.

ANSWER: A

77. Commodity money
- A. Has no intrinsic value.
 - B. Has intrinsic value.
 - C. Is used exclusively in the economies of western Europe and north America.
 - D. Is used as reserves to back fiat money.

ANSWER: B

78. Which of the following statements about money is not true?
- A. A debit card is not really money because it is only a means of transferring money between accounts.
 - B. All the wealth that people hold, in whatever form, should be considered as money.
 - C. Wealth held in the current account you hold with your bank is almost as convenient for buying things as wealth held in your wallet, so the wealth in current accounts should be included in measures of money.
 - D. In a complex economy it is not easy to draw a clear dividing line between assets that should be considered as money and those that should not.

ANSWER: B

79. If the banks in an economy operate with a reserve ratio of 20 per cent then the money multiplier is:
- A. 4
 - B. 20
 - C. 25
 - D. 5
 - E. 20

ANSWER: D

80. Suppose Gerard moves his €1,000 demand deposit from Bank A to Bank B. If both banks operate with a reserve ratio of 10 per cent, what is the potential change in money supply as a result of Gerard's action?
- A. €10,000
 - B. €1,000
 - C. €9,000
 - D. €0

ANSWER: D

81. Reserve requirements that may be imposed on an economy's banks by its central bank specify that banks' reserves must be a minimum percentage of their
- A. assets.
 - B. Deposits.
 - C. Loans.
 - D. Government bonds.

ANSWER: B

82. Which of the following policy actions by a central bank is likely to increase the money supply?
- A. Increasing the refinancing rate.
 - B. All of these will increase the money supply.
 - C. Buying government bonds in open market operations.
 - D. Increasing reserve requirements.

ANSWER: C

83. The refinancing rate is
- A. The interest rate at which commercial banks lend to and borrow from each other.
 - B. The interest rate the European Central Bank pays on reserves.
 - C. The interest rate the public pays when borrowing from banks.
 - D. The interest rate the European Central Bank charges on loans to banks.
 - E. The interest rate banks pay on the public's deposits.

ANSWER: D

84. Suppose the Commercial Bank of Ethiopia purchases a £1,000 government bond from you. If you deposit the entire £1,000 in your bank, what is the total potential change in the money supply as a result of the Commercial Bank of Ethiopia's action if the your bank's reserve ratio is 20 per cent?
- A. £4,000
 - B. £5,000
 - C. £1,000
 - D. £0

ANSWER: B

85. Suppose all banks maintain a 100 percent reserve ratio. If an individual deposits €1,000 of currency in a bank,
- A. The money supply increases by more than €1,000.
 - B. The money supply increases by less than €1,000.
 - C. The money supply decreases by less than €1,000.
 - D. The money supply decreases by more than €1,000.
 - E. The money supply is unaffected.

ANSWER: E

86. Given the following T-account, what is the largest new loan this bank can prudently make if it wishes to maintain a reserve ratio of 10 per cent?

Awash International Bank			
Assets		Liabilities	
Reserves	€150	Deposits	€1000
Loans	€850		

- A. none of these answers
- B. €50
- C. €0
- D. €150
- E. €1,000

ANSWER: B

87. The three main tools of monetary policy are
- A. Fiat, commodity, and deposit money.
 - B. Open-market operations, reserve requirements, and the refinancing rate.
 - C. The money supply, government purchases, and taxation.
 - D. Government expenditures, taxation, and reserve requirements.
 - E. Coin, currency, and demand deposits.

ANSWER: B

88. Suppose the central bank purchases a government bond from a person who deposits the entire amount received from the sale in her bank, the money supply will
- A. Rise by an amount that depends on the bank's reserve ratio.
 - B. Rise by less than the amount of the deposit.
 - C. Fall by exactly the amount of the deposit as long as the bank does not change its reserve ratio.
 - D. Fall by exactly the amount of the deposit as long as the bank does not change its reserve ratio.
 - E. Be unchanged.

ANSWER: A

89. If there is a general shortage of liquidity in the money market then
- A. The banks will increase their lending.
 - B. The short-term interest rate at which the economy's commercial banks lend to and borrow from each other will fall and the central bank may be expected to reduce the supply of liquidity to the banks.
 - C. The short-term interest rate at which the economy's commercial banks lend to and borrow from each other will rise and the long-term interest rate may be expected to rise as a result.
 - D. The long-term interest rate in the economy will rise and the central bank will raise its interest rate in response.
 - E. The short-term interest rate at which the economy's commercial banks lend to and borrow from each other will rise and the central bank may be expected to increase the supply of liquidity to the banks.

ANSWER: E

90. In the long run, inflation is caused by
- A. Governments that raise taxes so high that it increases the cost of doing business and, hence, raises prices.
 - B. Banks that have market power and refuse to lend money.
 - C. Governments that print too much money.
 - E. Increases in the price of inputs, such as labor and oil.

ANSWER: C

91. When prices rise at an extraordinarily fast rate, it is called
- A. Disinflation.
 - B. Deflation.
 - C. Hyperinflation.
 - D. Inflation.
 - E. Hypoinflation.

ANSWER: C

92. If the price level doubles,
- A. The quantity demanded of money falls by half.
 - B. The value of money has been cut by half.
 - C. Nominal income is unaffected.
 - D. The money supply has been cut by half.

ANSWER: B

93. In the long run, the demand for money is most dependent upon
- A. The level of prices.
 - B. The interest rate.
 - C. The availability of banking outlets.
 - D. The availability of credit cards.

ANSWER: A

94. The quantity theory of money concludes that an increase in the money supply causes
- A. A proportional increase in prices.
 - B. A proportional increase in real output.
 - C. A proportional decrease in velocity.
 - D. A proportional increase in velocity.
 - E. A proportional decrease in prices.

ANSWER: A

95. An example of a real variable is
- A. The wage rate in euros.
 - B. The price of corn.
 - C. The nominal interest rate.
 - D. The ratio of the value of wages to the price of soda.

ANSWER: D

96. The quantity equation states that
- A. Money $\times$ real output = velocity $\times$ price level.
 - B. Money $\times$ velocity = price level $\times$ real output.
 - C. Money $\times$ price level = velocity $\times$ real output.

ANSWER: B

97. If money is neutral,
- A. An increase in the money supply does nothing.
 - B. A change in the money supply only affects real variables such as real output.
 - C. A change in the money supply reduces velocity proportionately; therefore there is no effect on either prices or real output.
 - D. A change in the money supply only affects nominal variables such as prices and wages.
 - E. The money supply cannot be changed because it is tied to a commodity such as gold.

ANSWER: D

98. If the money supply grows 5 per cent, and real output grows 2 per cent, prices should rise by
- A. 5 per cent.
 - B. More than 5 per cent.
 - C. Less than 5 per cent.
 - D. None of these answers.

ANSWER: C

99. The velocity of money is
- A. Highly unstable.
 - B. Impossible to measure.
 - C. The rate at which money loses its value.
 - D. The rate at which inflation rises.
 - E. The rate at which money changes hands.

ANSWER: E

100. Countries that employ an inflation tax do so because
- A. The government doesn't understand the causes and consequences of inflation.
 - B. Government expenditures are high and the government has inadequate tax collections and difficulty borrowing.
 - C. An inflation tax is the most progressive (paid by the rich) of all taxes.
 - D. An inflation tax is the most equitable of all taxes.

E. The government has a balanced budget.

ANSWER: B

101. An inflation tax

- A. Is usually employed by governments with balanced budgets?
- B. Is an explicit tax paid quarterly by businesses based on the amount of increase in the prices of their products?
- C. Is a tax borne only by people who hold interest bearing savings accounts?
- D. Is a tax on people who hold money?

ANSWER: D

102. Suppose the nominal interest rate is 7 per cent while the money supply is growing at a rate of 5 per cent per year. If the government increases the growth rate of the money supply from 5 per cent to 9 per cent, the Fisher effect suggests that, in the long run, the nominal interest rate should become

- A. 9 per cent.
- B. 11 per cent.
- C. 4 per cent.
- D. 16 per cent.
- E. 12 per cent.

ANSWER: B

103. If the nominal interest rate is 6 per cent and the inflation rate is 3 per cent, the real interest rate is

- A. 3 per cent.
- B. 6 per cent.
- C. 18 per cent.
- D. 9 per cent.

ANSWER: A

104. If actual inflation turns out to be greater than people had expected, then

- A. No redistribution occurred.
- B. Wealth was redistributed to lenders from borrowers.
- C. The real interest rate is unaffected.
- D. Wealth was redistributed to borrowers from lenders.

ANSWER: D

105. Which of the following costs of inflation does not occur when inflation is constant and predictable?
- A. Costs due to inflation induced tax distortions.
 - B. Arbitrary redistributions of wealth.
 - C. Shoe leather costs.
 - D. Menu costs.
 - E. Costs due to confusion and inconvenience.

ANSWER: B

106. Suppose that, because of inflation, a business in Russia must calculate, print, and mail a new price list to its customers each month. This is an example of
- A. Shoe leather costs.
 - B. Costs due to confusion and inconvenience.
 - C. Arbitrary redistributions of wealth.
 - D. Costs due to inflation induced tax distortions.
 - E. Menu costs.

ANSWER: E

107. Suppose that, because of inflation, people in Ghana economize on currency and go to the bank each day to withdraw their daily currency needs. This is an example of
- A. Costs due to inflation induced relative price variability which misallocates resources.
 - B. Menu costs.
 - C. Shoe leather costs.
 - D. Costs due to inflation induced tax distortions.
 - E. Costs due to confusion and inconvenience.

ANSWER: C

108. If the real interest rate is 4 per cent, the inflation rate is 6 per cent, and the tax rate is 20 per cent, what is the after tax real interest rate?
- A. 5 per cent
 - B. 2 per cent
 - C. 1 per cent
 - D. 3 per cent
 - E. 4 per cent

ANSWER: B

109. Which of the following statements is true about a situation where real incomes are rising at 3 per cent per year?
- A. If money is neutral, an increase in the money supply will not alter the rate of growth of real income.
 - B. All of these answers are true.
 - C. If inflation were 0 per cent, people should receive raises of about 3 per cent.
 - D. If inflation were 5 per cent, people should receive raises of about 8 per cent per year.

ANSWER: A

110. Which of the following is an example of equity finance?
- A. Corporate bonds
 - B. Bank loan
 - D. Government bonds
 - E. Company shares

ANSWER: D

111. Credit risk refers to a bond's
- A. Probability of default.
 - B. Price-earnings ratio.
 - C. Dividend.
 - D. Tax treatment.
 - E. Term to maturity.

ANSWER: A

112. A financial intermediary is a middleperson between
- A. Buyers and sellers.
 - B. Husbands and wives.
 - C. Borrowers and lenders.
 - D. Labor unions and firms.

ANSWER: C

113. National saving (or just saving) is equal to
- A. Investment + consumption expenditures.
 - B. Private saving + public saving.
 - C. GDP - government purchases.
 - E. GDP + consumption expenditures + government purchases.

ANSWER: B

114. Which of the following statements is true?
- A. Long-term bonds tend to pay less interest than short-term bonds.
 - B. Government bonds pay less interest than comparable corporate bonds.
 - C. Investment funds are riskier than single stock purchases because the performance of so many different firms can affect the return of a mutual fund.
 - D. A stock index is a directory used to locate information about selected stocks.

ANSWER: B

115. If government spending exceeds tax collections,
- A. There is a budget deficit.
 - C. There is a budget surplus.
 - D. Private saving is positive.
 - E. Public saving is positive.

ANSWER: A

116. If $GDP = €1,000$, consumption = €600, taxes = €100, and government purchases = €200, how much is saving and investment?
- A. saving = €300, investment = €300
 - B. saving = €200, investment = €100
 - C. saving = €100, investment = €200
 - D. saving = €0, investment = €0
 - E. saving = €200, investment = €200

ANSWER: E

117. If the public consumes €100 billion less and the government purchases €100 billion more (other things unchanged), which of the following statement is true?
- A. Saving is unchanged.
 - B. There is an increase in saving and the economy should grow more quickly.
 - C. There is a decrease in saving and the economy should grow more slowly.
 - D. There is not enough information to determine what will happen to saving.

ANSWER: A

118. Which of the following financial market securities would probably pay the highest interest rate?
- A. A bond issued by a startup company
 - B. A government bond issued by the government of France.
 - C. A bond issued by a blue chip company
 - D. An investment fund with a portfolio of corporate bonds issued by blue chip companies.

ANSWER: A

119. Investment is

- A. The purchase of goods and services.
- B. The purchase of capital equipment and structures.
- C. When we place our saving in the bank.
- D. The purchase of stocks and bonds.

ANSWER: B

120. Which of the following sets of government policies is the most growth oriented?

- A. Lower taxes on the returns to saving, provide investment tax credits, and lower the deficit.
- B. Increase tax on the returns to saving, provide investment tax credits, and increase the deficit.
- C. Increase tax on the returns to saving, provide investment tax credits, and lower the deficit
- D. Lower taxes on the returns to saving, provide investment tax credits, and increase the deficit.

ANSWER: A

121. An increase in the budget deficit that causes the government to increase its borrowing

- A. Shifts the supply of loanable funds to the right.
- B. Shifts the demand for loanable funds to the left.
- C. Shifts the demand for loanable funds to the right.
- D. Shifts the supply of loanable funds to the left.

ANSWER: D

122. An increase in the budget deficit will

- A. Raise the real interest rate and decrease the quantity of loanable funds demanded for investment.
- B. Lower the real interest rate and increase the quantity of loanable funds demanded for investment.
- C. Raise the real interest rate and increase the quantity of loanable funds demanded for investment.
- D. Lower the real interest rate and decrease the quantity of loanable funds demanded for investment.

ANSWER: A

123. If the supply of loanable funds is very inelastic (steep), which policy would likely increase saving and investment the most?
- A. a reduction in the budget deficit
 - B. an increase in the budget deficit
 - C. an investment tax credit
 - D. none of these answers

ANSWER: A

124. An increase in the budget deficit is
- A. An increase in public saving.
 - B. A decrease in private saving.
 - C. A decrease in public saving.
 - D. An increase in private saving.

ANSWER: C

125. If an increase in the budget deficit reduces national saving and investment, we have witnessed a demonstration of
- A. Intermediation.
 - B. Equity finance.
 - C. Crowding out.
 - D. The investment fund effect.

ANSWER: C

126. If Ethiopian citizens become less concerned with the future and save less at each real interest rate,
- A. Real interest rates rise and investment falls.
 - B. Real interest rates rise and investment rises.
 - C. Real interest rates fall and investment rises.
 - D. Real interest rates fall and investment falls.

ANSWER: A

127. If the government increases investment tax credits and reduces taxes on the return to saving at the same time,
- A. The real interest rate should fall.
 - B. The real interest rate should rise.
 - C. The impact on the real interest rate is indeterminate.
 - D. The real interest rate should not change.

ANSWER: C

128. An increase in the budget surplus
- A. Shifts the supply of loanable funds to the left and increases the real interest rate.
 - B. Shifts the supply of loanable funds to the right and reduces the real interest rate.
 - C. Shifts the demand for loanable funds to the right and increases the real interest rate.
 - D. Shifts the demand for loanable funds to the left and reduces the real interest rate.

ANSWER: B

129. A reasonable measure of the standard of living in a country is
- A. Real GDP per person.
 - B. Nominal GDP per person.
 - C. Real GDP.
 - D. The growth rate of nominal GDP per person.
 - E. Nominal GDP.

ANSWER: A

130. Many East Asian countries are growing very quickly because
- A. They save and invest an unusually high percentage of their GDP.
 - B. They have always been wealthy and will continue to be wealthy, which is known as the "snowball effect."
 - C. They are imperialists and have collected wealth from previous victories in war.
 - D. They have enormous natural resources.

ANSWER: A

131. When a nation has very little GDP per person,
- A. It is doomed to being relatively poor forever.
 - B. An increase in capital will likely have little impact on output.
 - C. It has the potential to grow relatively quickly due to the "catch-up-effect."
 - D. It must be a small nation.

ANSWER: C

132. Once a country is wealthy,
- A. It no longer needs any human capital.
 - B. Capital becomes more productive due to the "catch-up effect."
 - C. It may be harder for it to grow quickly because of the diminishing returns to capital.
 - D. It is nearly impossible for it to become relatively poorer.

ANSWER: C

133. The opportunity cost of growth is
- A. A reduction in current investment.
 - B. A reduction in current consumption.
 - C. A reduction in taxes.
 - D. A reduction in current saving.

ANSWER: B

134. For a given level of technology, we should expect an increase in productivity within a nation when there is an increase in each of the following except
- A. Labor.
 - B. Physical capital/worker.
 - C. Human capital/worker.
 - D. Natural resources/worker.

ANSWER: A

135. Which of the following statements is true?
- A. Countries all have the same growth rate and level of output because any country can obtain the same factors of production.
 - B. Countries have great variance in both the level and growth rate of GDP/person; thus, poor countries can become relatively rich over time.
 - C. Countries may have a different level of GDP/person but they all grow at the same rate.
 - D. Countries may have a different growth rate but they all have the same level of GDP/person.

ANSWER: B

136. If a production function exhibits constant returns to scale,
- A. Doubling all of the inputs more than doubles output due to the catch-up effect.
 - B. Doubling all of the inputs has absolutely no impact on output because output is constant.
 - C. Doubling all of the inputs less than doubles output due to diminishing returns.
 - D. Doubling all of the inputs doubles output.

ANSWER: D

137. Which of the following statements regarding the impact of population growth on productivity is true?
- A. There is no evidence, yet, that rapid population growth stretches natural resources to the point that it limits growth in productivity.
 - B. all of these answers
 - C. Rapid population growth may dilute the capital stock, lowering productivity.
 - D. Rapid population growth may promote technological progress, increasing productivity.

ANSWER: B

138. Thomas Malthus argued that
- A. An ever increasing population is constrained only by the food supply, resulting in chronic famines.
 - B. Technological progress will continuously generate improvements in productivity and living standards.
 - C. Labor is the only true factor of production.
 - D. Private charities and government aid will improve the welfare of the poor.

ANSWER: A

139. Which of the following describes an increase in technological knowledge?
- A. A farmer sends his child to agricultural college and the child returns to work on the farm.
 - B. A farmer hires another day laborer.
 - C. A farmer buys another tractor.
 - D. A farmer discovers that it is better to plant in the spring rather than in the fall.

ANSWER: D

140. Our standard of living is most closely related to
- A. How hard we work.
 - B. Our supply of capital, because everything of value is produced by machinery.
 - C. Our productivity, because our income is equal to what we produce.
 - D. Our supply of natural resources, because they limit production.

ANSWER: C

141. Which of the following is an example of foreign portfolio investment?
- A. Toyota builds a new plant in the north of England.
 - B. EDF of France buys shares in Scottish & Southern Energy of the UK, and Scottish & Southern Energy uses the proceeds to build a new hydro-electric power station in Scotland.
 - C. Deutsche Bank of Germany buys some new software from a UK supplier.
 - D. JCB builds a new plant near Manchester.
 - E. None of these answers.

ANSWER: B

142. Which of the following government policies is least likely to increase growth in Africa?
- A. increase expenditures on public education
 - B. eliminate civil war
 - C. All of these answers would increase growth.
 - D. reduce restrictions on foreign capital investment
 - E. increase restrictions on the importing of American tractors and electronics

ANSWER: E

143. If Toyota builds a new plant in the north of England,
- A. There has been an increase in foreign portfolio investment in the UK.
 - B. Once the plant starts producing cars UK GDP will rise less than UK GNP.
 - C. Once the plant starts producing cars UK GDP and GNP will both fall because some income from this investment will accrue to foreigners
 - D. Once the plant starts producing cars UK GDP will rise more than UK GNP.

ANSWER: D

144. If, in some European country, real GDP/person in 2004 is €18,073 and real GDP/person in 2005 is €18,635, what is the growth rate of real output per person over this period?
- A. 3.1 percent
 - B. 3.0 percent
 - C. 18.6 percent
 - D. 18.0 percent
 - E. 5.62 percent

ANSWER: A

145. To increase growth, governments should do all of the following except
- A. Encourage foreigners to investment in your country.
 - B. Encourage saving and investment.
 - C. Nationalize major industries.
 - D. Encourage research and development.
 - E. Promote free trade.

ANSWER: C

146. Inflation can be measured by all of the following except the
- A. All of these answers are used to measure inflation.
 - B. Consumer price index.
 - C. Producer price index.
 - D. GDP deflator.
 - E. Finished goods price index.

ANSWER: E

147. In 1989, the CPI was 124.0. In 1990, it was 130.7. What was the rate of inflation over this period?
- A. 5.4 percent
 - B. 30.7 percent
 - C. You can't tell without knowing the base year.
 - D. 5.1 percent
 - E. 6.7 percent

ANSWER: A

148. If there is an increase in the price of apples which causes consumers to purchase fewer kilograms of apples and more kilograms of oranges, the CPI will suffer from
- A. Substitution bias.
 - B. Base year bias.
 - C. Bias due to unmeasured quality change.
 - D. Bias due to the introduction of new goods.

ANSWER: A

149. Suppose your income rises from €19,000 to €31,000 while the CPI rises from 122 to 169. Your standard of living has likely
- A. Fallen.
 - B. You can't tell without knowing the base year.
 - C. Risen.
 - D. Stayed the same.

ANSWER: C

150. Which of the following statements is correct?
- A. The nominal interest rate is the inflation rate minus the real interest rate.
 - B. The real interest rate is the nominal interest rate minus the inflation rate.
 - C. The nominal interest rate is the real interest rate minus the inflation rate.
 - D. The real interest rate is the sum of the nominal interest rate and the inflation rate.

ANSWER: B

151. If inflation is 8 percent and the real interest rate is 3 percent, then the nominal interest rate must be
- A. 3/8 percent.
 - B. 5 percent.
 - C. 11 percent.
 - D. 24 percent.
 - E. -5 percent.

ANSWER: C

152. Under which of the following conditions would you prefer to be the borrower?
- A. The nominal rate of interest is 12 percent and the inflation rate is 9 percent.
 - B. The nominal rate of interest is 20 percent and the inflation rate is 25 percent.
 - C. The nominal rate of interest is 5 percent and the inflation rate is 1 percent.
 - D. The nominal rate of interest is 15 percent and the inflation rate is 14 percent.

ANSWER: B

153. If borrowers and lenders agree on a nominal interest rate and inflation turns out to be less than they had expected,
- A. Neither borrowers nor lenders will gain because the nominal interest rate has been fixed by contract.
 - B. Borrowers will gain at the expense of lenders.
 - C. Lenders will gain at the expense of borrowers.

ANSWER: C

154. If workers and firms agree on an increase in wages based on their expectations of inflation and inflation turns out to be more than they expected,
- A. Workers will gain at the expense of firms.
 - B. Neither workers nor firms will gain because the increase in wages is fixed in the labor agreement.
 - C. Firms will gain at the expense of workers.

ANSWER: C

155. An example of a transfer payment is

- A. Profit.
- B. Rent.
- C. Unemployment benefits.
- D. Government purchases.
- E. Wages.

ANSWER: C

156. The value of plant and equipment worn out in the process of manufacturing goods and services is measured by

- A. Intermediate production.
- B. Net National Product.
- C. Investment.
- D. Depreciation.
- E. Consumption.

ANSWER: D

157. Gross Domestic Product can be measured as the sum of

- A. Final goods and services, intermediate goods, transfer payments, and rent.
- B. Consumption, investment, government purchases, and net exports.
- C. Consumption, transfer payments, wages, and profits.
- D. Net National Product, Gross National Product, and Disposable personal income.
- E. Investment, wages, profits, and intermediate production.

ANSWER: B

158. Gross Domestic Product is the sum of the market value of the

- A. Intermediate goods.
- B. Final goods and services.
- C. Manufactured goods.
- D. Inferior goods and services.
- E. Normal goods and services.

ANSWER: B

159. If nominal GDP in 2005 exceeds nominal GDP in 2004, then the production of output

- A. Must have fallen.
- B. Must have risen.
- C. Must have stayed the same.
- D. May have risen, fallen, or stayed the same because there is not enough information to determine what happened to real output.

ANSWER: D

160. If a cobbler buys leather for €100 and thread for €50 and uses them to produce and sell €500 worth of shoes to consumers, the contribution to GDP is
- A. €50.
 - B. €100.
 - C. €650.
 - D. €500.
 - E. €600.

ANSWER: D

161. GDP would include which of the following?
- a. the value of taking a day off from work
 - b. consulting services
 - c. intermediate sales
 - d. illegal drug sales
 - e. housework

ANSWER:

162. Real GDP is measured in _____ prices while nominal GDP is measured in _____ prices.
- A. foreign; domestic
 - B. current year; base year
 - C. domestic; foreign
 - D. base year; current year
 - E. intermediate; final

ANSWER: D

Figure A

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	12	14	70

163. Refer to Figure A. What is the value of the GDP deflator in 2004?

- A. 119
- B. 138
- C. 116
- D. 113
- E. 100

ANSWER: D

Figure B

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	120	14	70

164. Refer to Figure B. What is the percentage increase in prices from 2003 to 2004?

- A. 16 percent
- B. 22 percent
- C. 13 percent
- D. 0 percent
- E. 38 percent

ANSWER: C

Figure C

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	120	1	7

165. Refer to Figure C. What is the approximate percentage increase in prices from 2004 to 2005?

- A. 13 percent
- B. 0 percent
- C. 16 percent
- D. 38 percent
- E. 22 percent

ANSWER: E

Figure D

The following table contains information about an economy that produces only pens and books. The base year is 2003.

Year	Price of pens	Quantity of pens	Price of books	Quantity of books
2003	€3	100	€10	50
2004	3	120	12	70
2005	4	120	14	70

166. Refer to Figure D. What is the percentage increase in real GDP from 2004 to 2005?

- A. 27 percent
- B. 7 percent
- C. 32 percent
- D. 0 percent
- E. 22 percent

ANSWER: D

167. Which of the following involve a trade-off?

- a. Taking a nap
- b. All of these answers involve trade-offs.
- c. Watching a football game on Saturday afternoon
- d. Going to university
- e. Buying a new car

ANSWER: B

168. Trade-offs are required because wants are unlimited and resources are
- A. Economical.
 - B. Unlimited.
 - C. Efficient.
 - D. Marginal.
 - E. Scarce.

ANSWER: E

169. Economics is the study of
- A. How society manages its unlimited resources.
 - B. How to reduce our wants until we are satisfied.
 - C. How society manages its scarce resources.
 - D. How to fully satisfy our unlimited wants.
 - E. How to avoid having to make trade-offs.

ANSWER: C

170. A rational person does not act unless
- A. The action is ethical.
 - B. The action produces marginal costs that exceed marginal benefits.
 - C. The action produces marginal benefits that exceed marginal costs.
 - D. The action makes money for the person.
 - E. None of these answers.

ANSWER: C

171. Which of the following is NOT a natural experiment capable of verifying or refuting the theory you want to test?
- A. Theory: Immigration has a negative effect on the wages of the local workforce.
Experiment: For political reasons, there is a sudden influx of people from Cuban into Miami which is unparalleled in any other major American city.
 - B. Theory: A law which forces employers to pay a minimum wage reduces employment. Experiment: The state of New Jersey introduces a minimum wage law but Pennsylvania does not.
 - C. Theory: Legalizing abortion has a negative effect on crime rates one generation later. Experiment: Some American states legalize abortion in 1970, three years before abortion is made legal in all American states.
 - D. All the cases produce natural experiments which are capable of explaining the respective theory.
 - E. Your theory: Incomes in university towns are higher than in other towns.
Experiment: The government runs a program to build new universities mainly in poor regions.

ANSWER: E

172. Suppose you find €20. If you choose to use the €20 to go to a football match, your opportunity cost of going to the game is
- A. Nothing, because you found the money.
 - B. €20 (because you could have used the €20 to buy other things) plus the value of your time spent at the game.
 - C. €20 (because you could have used the €20 to buy other things) plus the value of your time spent at the game, plus the cost of the dinner you purchased at the game.
 - D. €20 (because you could have used the €20 to buy other things).
 - E. none of these answers

ANSWER: B

173. Since people respond to incentives, we would expect that, if the average salary of accountants increases by 50% while the average salary of teachers increases by 20%, then
- A. Fewer students will take degree courses in accounting and more will take education courses.
 - B. Fewer students will take degree courses in education and more will take accounting courses.
 - C. Fewer students will attend university.
 - D. None of these answers.

ANSWER: B

174. Which of the following is not part of the opportunity cost of going on holiday?
- A. the money you spent on a theatre show there
 - B. the money you could have made if you had stayed at home and worked
 - C. the money you spent on food
 - D. the money you spent on airline tickets.

ANSWER: C

175. Which of the following statements is true about a market economy?
- A. With a large enough computer, central planners could guide production more efficiently than markets.
 - B. By following their self-interest, In a market the self-interested actions of market participants are co-ordinated in such a way as to bring about an outcome from which everybody benefits.
 - C. The strength of a market system is that it tends to distribute resources evenly across consumers.
 - D. Taxes help prices communicate costs and benefits to producers and consumers.

ANSWER: B

176. The scientific method requires that
- A. The scientist is objective.
 - B. The scientist use precision equipment.
 - C. Only correct theories are tested.
 - D. Only incorrect theories are tested.
 - E. The scientist use test tubes and have a clean lab.

ANSWER: A

177. Which of the following is most likely to produce scientific evidence about a theory?
- A. A lawyer employed by Renault addressing the impact of air bags on passenger safety.
 - B. An economist permanently employed at a leading university analysing the impact of bank regulations on lending to small businesses.
 - C. An economist employed by the Trades Union Congress doing research on the impact of trade policy on workers' wages.
 - D. A radio talk show host collecting data from listeners on how capital markets respond to taxation.

ANSWER: B

178. Which of the following is not a factor of production?
- A. labor
 - B. land
 - C. money
 - D. capital
 - E. All of these answers are factors of production.

ANSWER: C

179. Points on the production possibilities frontier are
- A. Inefficient.
 - B. Normative.
 - C. Unattainable.
 - D. Efficient.
 - E. None of these answers.

ANSWER: D

180. Which of the following will not shift a country's production possibilities frontier outward?
- A. an advance in technology
 - B. an increase in the labor force
 - C. an increase in the capital stock
 - D. a reduction in unemployment

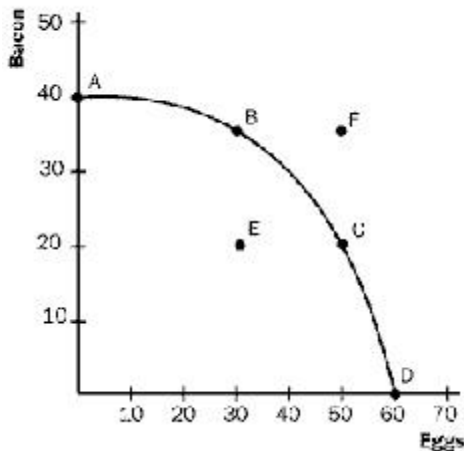
ANSWER: D

181. Economic growth is depicted by
- A. a shift in the production possibilities frontier outward.
 - B. a movement from inside the curve toward the curve.
 - C. a shift in the production possibilities frontier inward.
 - D. a movement along a production possibilities frontier toward capital goods.

ANSWER: A

182. Refer to Exhibit 6. If the economy is operating at point C, the opportunity cost of producing an additional 20 units of bacon is

Exhibit 6

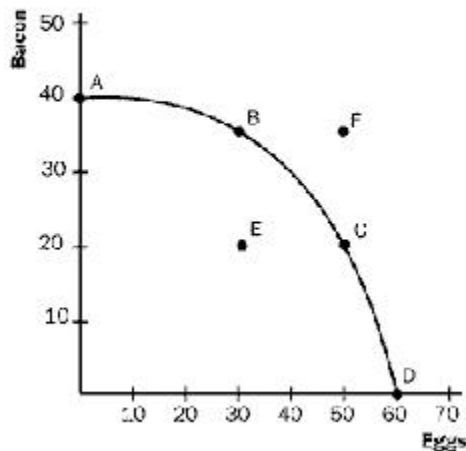


- A. 40 units of eggs.
- B. 10 units of eggs.
- C. 20 units of eggs.
- D. 30 units of eggs.
- E. 50 units of eggs.

ANSWER: E

183. Refer to Exhibit 6. If the economy were operating at point E,

Exhibit 6

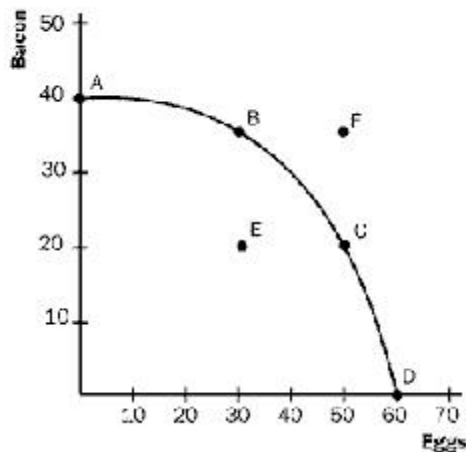


- A. the opportunity cost of 20 additional units of eggs is 10 units of bacon.
- B. the opportunity cost of 20 additional units of eggs is 20 units of bacon.
- C. the opportunity cost of 20 additional units of eggs is 30 units of bacon.
- D. 20 additional units of eggs can be produced with no impact on bacon production.

ANSWER: D

184. Refer to Exhibit 6. Point F represents

Exhibit 6

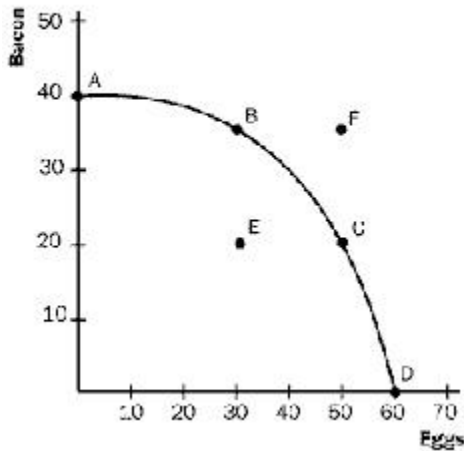


- A. a combination of production that can be reached if we reduce the production of eggs by 20 units.
- B. a combination of production that can be reached if there is a sufficient advance in technology.
- C. a combination of production that is inefficient because there are unemployed resources.

ANSWER: B

185. Refer to Exhibit 6. As we move from point A to point D,

Exhibit 6



- A. the opportunity cost of eggs in terms of bacon falls.
- B. the opportunity cost of eggs in terms of bacon rises.
- C. the opportunity cost of eggs in terms of bacon is constant.
- D. the economy becomes less efficient.
- E. the economy becomes more efficient.

ANSWER: B

186. Which of the following statements is normative?

- A. Large government deficits cause an economy to grow more slowly.
- B. People work harder if the wage is higher.
- C. The unemployment rate should be lower.
- D. Printing too much money causes inflation.

ANSWER: C

187. Positive statements are

- A. Macroeconomic.
- B. Microeconomic.
- C. Statements of description that can be tested.
- D. Statements of prescription that involve value judgments.

ANSWER: C

188. Which of the following claims is NOT true? A distribution of a given amount of goods is inefficient,

- A. If some can still be made better off without making someone else worse off.
- B. If there are still mutually beneficial trades which can be realized.
- C. If I am unhappy with what I have but I cannot find a trading partner because everybody else is happy with what they have.
- D. If everybody's wellbeing can be increased simultaneously.
- E. When everybody has been given the same amount of goods although tastes are different and trade is prohibited.

ANSWER: C

189. If a nation has a comparative advantage in the production of a good,
- A. It can produce that good at a lower opportunity cost than its trading partner.
 - B. It can benefit by restricting imports of that good.
 - C. It can produce that good using fewer resources than its trading partner.
 - D. It must be the only country with the ability to produce that good.
 - E. None of these answers.

ANSWER: A

190. Which of the following statements about trade is true?
- A. Unrestricted international trade benefits every person in a country equally.
 - B. Trade can benefit everyone in society because it allows people to specialize in activities in which they have a comparative advantage.
 - C. People that are skilled at all activities cannot benefit from trade.
 - D. Trade can benefit everyone in society because it allows people to specialize in activities in which they have an absolute advantage.

ANSWER: B

191. According to the principle of comparative advantage,
- A. Countries should specialize in the production of goods that they enjoy consuming.
 - B. Countries with a comparative advantage in the production of every good need not specialize.
 - C. Countries should specialize in the production of goods for which they have a lower opportunity cost of production than their trading partners.
 - D. Countries should specialize in the production of goods for which they use fewer resources in production than their trading partners.

ANSWER: C

192. Which of the following statements is true?
- A. A self-sufficient country can, at best, consume on its production possibilities frontier.
 - B. Only countries with an absolute advantage in the production of every good should strive to be self-sufficient.
 - C. A self-sufficient country consumes outside its production possibilities frontier.
 - D. Self-sufficiency is the road to prosperity for most countries.

ANSWER: A

193. Suppose a country's workers can produce 4 watches per hour or 12 rings per hour. If there is no trade,
- A. the domestic price of 1 ring is 1/4 of a watch.
 - B. the domestic price of 1 ring is 3 watches.
 - C. the domestic price of 1 ring is 1/3 of a watch.
 - D. the domestic price of 1 ring is 12 watches.
 - E. the domestic price of 1 ring is 4 watches.

ANSWER: C

194. Suppose a country's workers can produce 4 watches per hour or 12 rings per hour. If there is no trade,
- A. the opportunity cost of 1 watch is 1/4 of a ring.
 - B. the opportunity cost of 1 watch is 4 rings.
 - C. the opportunity cost of 1 watch is 3 rings.
 - D. the opportunity cost of 1 watch is 12 rings.
 - E. the opportunity cost of 1 watch is 1/3 of a ring.

ANSWER: C

195. The figure shows how much a worker can produce in one day. Which of the following statements about absolute advantage is true?

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- A. Australia has an absolute advantage in the production of food while Korea has an absolute advantage in the production of electronics.
- B. Korea has an absolute advantage in the production of food while Australia has an absolute advantage in the production of electronics.
- C. Australia has an absolute advantage in the production of both food and electronics.
- D. Korea has an absolute advantage in the production of both food and electronics.

ANSWER: C

196. The figure shows how much a worker can produce in one day. The opportunity cost of 1 unit of electronics in Korea is

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- A. 4 units of food.
- B. 5 units of food.
- C. 1/5 of a unit of food.
- D. 1/4 of a unit of food.

ANSWER: A

197. The figure shows how much a worker can produce in one day. The opportunity cost of 1 unit of electronics in Australia is

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- A. 4 units of food.
- B. 1/4 units of food.
- C. 2 units of food.
- D. 1/2 of a unit of food.

ANSWER: C

198. The figure shows how much a worker can produce in one day. The opportunity cost of 1 unit of food in Korea is

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- A. 1/5 of a unit of electronics.
- B. 5 units of electronics.
- C. 4 units of electronics.
- D. 1/4 of a unit of electronics.

ANSWER: D

199. The figure shows how much a worker can produce in one day. The opportunity cost of 1 unit of food in Australia is

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- a. 1/2 of a unit of electronics.
- b. 1/4 units of electronics.
- c. 2 units of electronics.
- D. 4 units of electronics.

ANSWER: A

200. The figure shows how much a worker can produce in one day. Which of the following statements about comparative advantage is true?

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- A. Australia has a comparative advantage in the production of both food and electronics.
- B. Korea has a comparative advantage in the production of both food and electronics.
- C. Korea has a comparative advantage in the production of food while Australia has a comparative advantage in the production of electronics.
- D. Australia has a comparative advantage in the production of food while Korea has a comparative advantage in the production of electronics.
- E. Neither country has a comparative advantage.

ANSWER: C

201. The figure shows how much a worker can produce in one day. Australia should

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- A. Specialize in electronics production, export electronics, and import food.

- B. Produce neither good because it has an absolute disadvantage in the production of both goods.
- C. Produce both goods because neither country has a comparative advantage.
- D. specialize in food production, export food, and import electronics

ANSWER: A

202. The figure shows how much a worker can produce in one day. Prices of electronics can be stated in terms of units of food. What is the range of prices of electronics for which both countries could gain from trade?

Figure 3-1	Food	Electronics
Australia	10	5
Korea	8	2

- A. The price must be greater than $\frac{1}{5}$ of a unit of food but less than $\frac{1}{4}$ of a unit of food.
- B. The price must be greater than 4 units of food but less than 5 units of food.
- C. The price must be greater than 2 of a unit of food but less than 4 of a unit of food.
- D. The price must be greater than $\frac{1}{4}$ units of food but less than $\frac{1}{2}$ units of food.

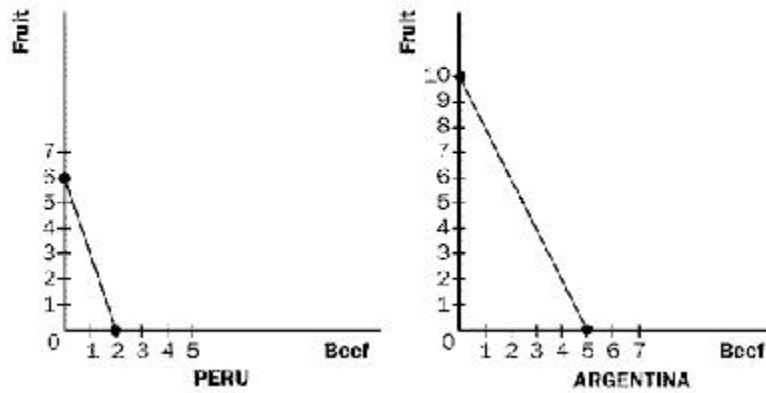
ANSWER: C

203. Suppose the world consists of two countries: the UK and Spain. Further, suppose there are only two goods--food and clothing. Which of the following statements is true?
- A. If the UK has an absolute advantage in the production of food, then Spain must have an absolute advantage in the production of clothing.
 - C. If the UK has a comparative advantage in the production of food, Spain might also have a comparative advantage in the production of food.
 - D. If the UK has a comparative advantage in the production of food, it must also have a comparative advantage in the production of clothing.
 - D. If the UK has a comparative advantage in the production of food, then Spain must have a comparative advantage in the production of clothing.

ANSWER: D

204. Use the production possibilities frontiers in Exhibit 4 to answer the question. Assume each country has the same number of workers, say 20 million, and that each axis is measured in metric tons per month. Argentina has a comparative advantage in the production of

Exhibit 4

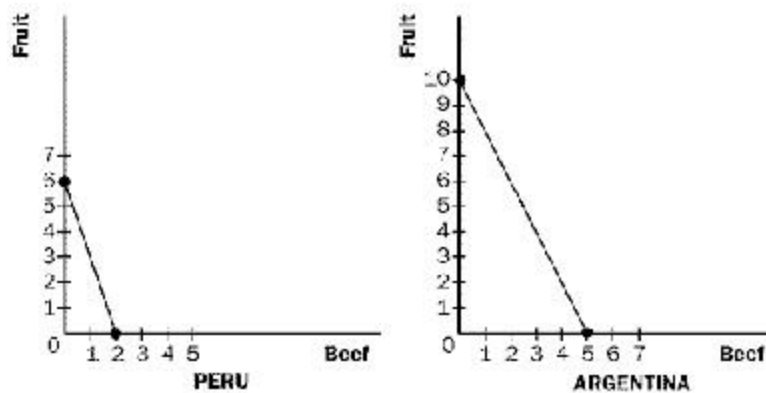


- A. Neither fruit nor beef.
- B. Fruit.
- C. Both fruit and beef.
- D. Beef.

ANSWER: D

205. Use the production possibilities frontiers in Exhibit 4 to answer the question. Assume each country has the same number of workers, say 20 million, and that each axis is measured in metric tons per month. Peru will export

Exhibit 4

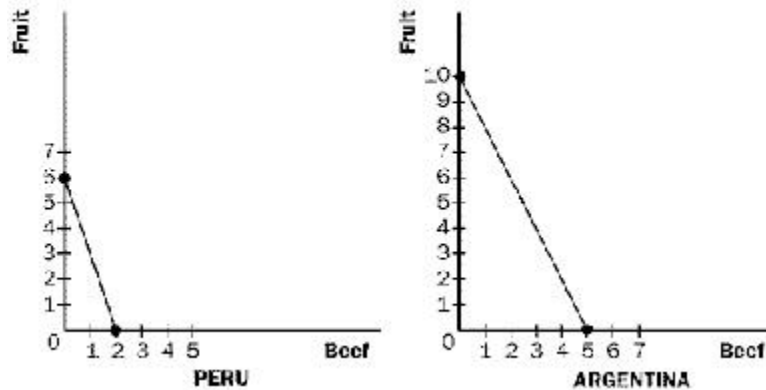


- A. Both fruit and beef.
- B. Beef.
- C. Fruit.
- D. Neither fruit nor beef.

ANSWER: C

206. Use the production possibilities frontiers in Exhibit 4 to answer the question. Assume each country has the same number of workers, say 20 million, and that each axis is measured in metric tons per month. The opportunity cost of producing a metric ton of beef in Peru is

Exhibit 4



- A. 1/3 ton of fruit.
- B. 6 tons of fruit.
- C. 1 ton of fruit.
- D. 2 tons of fruit.
- E. 3 tons of fruit.

ANSWER: E

207. Geleta is a tax accountant. He receives €100 per hour doing tax returns. He can type 10,000 characters per hour into spreadsheets. He can hire an assistant who types 2,500 characters per hour into spreadsheets. Which of the following statements is true?
- A. Obsa should hire the assistant as long as he pays the assistant less than €25 per hour.
 - B. Geleta should not hire an assistant because the assistant cannot type as fast as he.
 - C. Geleta should hire the assistant as long as he pays the assistant less than €100 per hour.

ANSWER: A

208. A perfectly competitive market has
- A. Firms that set their own prices.
 - B. Only one seller.
 - C. At least a few sellers.
 - D. Many buyers and sellers.
 - E. None of these answers.

ANSWER: D

209. If an increase in the price of blue jeans leads to a decrease in the demand for tennis shoes, then blue jeans and tennis shoes are
- A. Complements.
 - B. Inferior goods.
 - C. Normal goods.
 - D. Substitutes.

ANSWER: A

210. The law of demand states that an increase in the price of a good
- A. Increases the supply of that good.
 - B. Decreases the quantity demanded for that good along its demand curve.
 - C. Decreases the demand for that good.
 - D. Increases the quantity supplied of that good along its supply curve.
 - E. None of these answers.

ANSWER: B

211. The law of supply states that an increase in the price of a good
- A. Increases the quantity supplied of that good along its supply curve.
 - B. Increases the supply of that good.
 - C. Decreases the demand for that good.
 - D. Decreases the quantity demanded for that good along its demand curve.

ANSWER: A

212. If an increase in consumer incomes leads to a decrease in the demand for camping equipment, then camping equipment is
- A. A normal good.
 - B. An inferior good.
 - C. A substitute good.
 - E. A complementary good.

ANSWER: B

213. That the supply curve for ice cream cones is upward sloping indicates that
- A. the marginal cost of providing ice cream cones increases as more cones are produced.
 - B. as the price of ice cream cones increases, the production technology is upgraded.
 - C. as the price increases, the opportunity cost of making ice cream cones decreases.
 - D. all of the above.
 - E. none of the above.

ANSWER: A

214. Which of the following shifts the demand for watches to the right?
- A. an increase in the price of watches
 - B. a decrease in the price of watch batteries if watch batteries and watches are complements
 - C. a decrease in consumer incomes if watches are a normal good
 - D. a decrease in the price of watches

ANSWER: B

215. All of the following shift the supply of watches to the right except
- A. An advance in the technology used to manufacture watches.
 - B. An increase in the price of watches.
 - C. All of these answers cause an increase in the supply of watches.
 - D. A decrease in the wage of workers employed to manufacture watches.
 - E. Manufacturers' expectation of lower watch prices in the future.

ANSWER: B

216. If the price of a good is above the equilibrium price,
- A. There is a surplus (i.e. an excess supply) and the price will rise.
 - B. There is a shortage (i.e. an excess demand) and the price will fall.
 - C. There is a shortage (i.e. an excess demand) and the price will rise.
 - D. The quantity demanded is equal to the quantity supplied and the price remains unchanged.
 - E. There is a surplus (i.e. an excess supply) and the price will fall.

ANSWER: E

217. If the price of a good is below the equilibrium price,
- A. There is a shortage (i.e. an excess demand) and the price will rise.
 - B. The quantity demanded is equal to the quantity supplied and the price remains unchanged.
 - C. There is a shortage (i.e. an excess demand) and the price will fall.
 - D. There is a surplus (i.e. an excess supply) and the price will rise.
 - E. There is a surplus (i.e. an excess supply) and the price will fall.

ANSWER: A

218. If the price of a good is equal to the equilibrium price,
- A. There is a shortage (i.e. an excess demand) and the price will fall.
 - B. The quantity demanded is equal to the quantity supplied and the price remains unchanged.
 - C. There is a surplus (i.e. an excess supply) and the price will rise.
 - D. There is a shortage (i.e. an excess demand) and the price will rise.
 - E. There is a surplus (i.e. an excess supply) and the price will fall.

ANSWER: B

219. An increase (rightward shift) in the demand for a good will tend to cause
- A. an increase in the equilibrium price and quantity.
 - B. An increase in the equilibrium price and a decrease in the equilibrium quantity.
 - C. A decrease in the equilibrium price and an increase in the equilibrium quantity.
 - D. A decrease in the equilibrium price and quantity.

ANSWER: A

220. A decrease (leftward shift) in the supply for a good will tend to cause
- A. An increase in the equilibrium price and quantity.
 - B. A decrease in the equilibrium price and an increase in the equilibrium quantity.
 - C. A decrease in the equilibrium price and quantity.
 - D. An increase in the equilibrium price and a decrease in the equilibrium quantity.

ANSWER: D

221. Suppose there is an increase in both the supply and demand for personal computers. In the market for personal computers, we would expect
- A. The equilibrium quantity to rise and the equilibrium price to rise.
 - B. The equilibrium quantity to rise and the equilibrium price to fall.
 - C. The equilibrium quantity to rise and the equilibrium price to remain constant.
 - D. The change in the equilibrium quantity to be ambiguous and the equilibrium price to rise.
 - E. The equilibrium quantity to rise and the change in the equilibrium price to be ambiguous.

ANSWER: E

222. Suppose there is an increase in both the supply and demand for personal computers. Further, suppose the supply of personal computers increases more than demand for personal computers. In the market for personal computers, we would expect
- A. The change in the equilibrium quantity to be ambiguous and the equilibrium price to fall.
 - B. The equilibrium quantity to rise and the equilibrium price to rise.
 - C. The equilibrium quantity to rise and the change in the equilibrium price to be ambiguous.
 - D. The equilibrium quantity to rise and the equilibrium price to fall.
 - E. The equilibrium quantity to rise and the equilibrium price to remain constant.

ANSWER: D

223. Which of the following statements is true about the impact of an increase in the price of lettuce?
- A. Both the demand for lettuce will decrease and the equilibrium price and quantity of salad dressing will fall.
 - B. The supply of lettuce will decrease.
 - C. The demand for lettuce will decrease.
 - D. The equilibrium price and quantity of salad dressing will fall.
 - E. The equilibrium price and quantity of salad dressing will rise.

ANSWER: D

224. Suppose a frost destroys much of the Florida orange crop. At the same time, suppose consumer tastes shift toward orange juice. What would we expect to happen to the equilibrium price and quantity in the market for orange juice?
- A. Price will decrease; quantity is ambiguous.
 - B. The impact on both price and quantity is ambiguous.
 - C. Price will increase; quantity will increase.
 - D. Price will increase; quantity will decrease.
 - E. Price will increase; quantity is ambiguous.

ANSWER: E

225. Suppose consumer tastes shift toward the consumption of apples. Which of the following statements is an accurate description of the impact of this event on the market for apples?
- A. There is an increase in the quantity demanded of apples along the demand curve and in the supply for apples.
 - B. There is an increase in the demand and supply of apples.
 - C. There is an increase in the demand for apples and a decrease in the supply of apples.
 - D. There is a decrease in the quantity demanded of apples along its demand curve and an increase in the supply for apples.
 - E. There is an increase in the demand for apples and an increase in the quantity supplied of apples along the supply curve.

ANSWER: E

226. Suppose both buyers and sellers of wheat expect the price of wheat to rise in the near future. What would we expect to happen to the equilibrium price and quantity in the market for wheat today?
- A. The impact on both price and quantity is ambiguous.
 - B. Price will decrease; quantity is ambiguous.
 - C. Price will increase; quantity will decrease.
 - D. Price will increase; quantity is ambiguous.
 - E. Price will increase; quantity will increase.

ANSWER: D

227. An inferior good is one for which an increase in income causes a(n)
- A. Decrease in supply.
 - B. Increase in demand.
 - C. Increase in supply.
 - D. Decrease in demand.

ANSWER: D

228. The price elasticity of demand is defined as
- A. The percentage change in the quantity demanded divided by the percentage change in income.
 - B. The percentage change in income divided by the percentage change in the quantity demanded.
 - C. The percentage change in the quantity demanded of a good divided by the percentage change in the price of that good.
 - D. The percentage change in price of a good divided by the percentage change in the quantity demanded of that good.

ANSWER: B

229. In general, a flatter demand curve is more likely to be
- A. Price elastic.
 - B. Unit price elastic.
 - D. Price inelastic.

ANSWER: A

230. In general, a steeper supply curve is more likely to be
- A. Price elastic.
 - B. Unit price elastic.
 - C. Price inelastic.

ANSWER: C

231. Which of the following would cause a demand curve for a good to be price inelastic?
- A. The good is a luxury.
 - B. There are a great number of substitutes for the good.
 - C. The good is a necessity.
 - D. None of these answers.

ANSWER: C

232. The demand for which of the following is likely to be the most price inelastic?
- A. transportation
 - B. taxi rides
 - C. bus tickets
 - D. airline tickets

ANSWER: A

233. If a supply curve for a good is price elastic, then
- A. The quantity supplied is sensitive to changes in the price of that good.
 - B. The quantity demanded is insensitive to changes in the price of that good.
 - C. The quantity demanded is sensitive to changes in the price of that good.
 - D. The quantity supplied is insensitive to changes in the price of that good.
 - E. None of these answers.

ANSWER: A

234. If a fisherman must sell all of his daily catch before it spoils for whatever price he is offered, once the fish are caught the fisherman's price elasticity of supply for fresh fish is
- A. Zero.
 - B. Infinite.
 - C. One.
 - D. Unable to be determined from this information.

ANSWER: A

235. A decrease in supply (shift to the left) will increase total revenue in that market if
- A. Demand is price inelastic.
 - B. Supply is price elastic.
 - C. Supply is price inelastic.
 - D. Demand is price elastic.

ANSWER: A

236. If an increase in the price of a good has no impact on the total revenue in that market, demand must be
- A. Price inelastic.
 - B. Unit price elastic.
 - C. Price elastic.

ANSWER: B

237. Technological improvements in agriculture that shift the supply of agricultural commodities to the right tend to
- A. Increase total revenue to farmers as a whole because the demand for food is elastic.
 - B. Increase total revenue to farmers as a whole because the demand for food is inelastic.
 - C. Reduce total revenue to farmers as a whole because the demand for food is elastic.
 - D. Reduce total revenue to farmers as a whole because the demand for food is inelastic.

ANSWER: D

238. If supply is price inelastic, the value of the price elasticity of supply must be
- A. Infinite.
 - B. Zero.
 - C. Less than 1.
 - D. Greater than 1.

ANSWER: C

239. If there is excess capacity in a production facility, it is likely that the firm's supply curve is
- A. Price inelastic.
 - B. Unit price elastic.
 - C. Price elastic.

ANSWER: C

240. Suppose that at a price of €30 per month, there are 30,000 subscribers to cable television in Small Town. If Small Town Cablevision raises its price to €40 per month, the number of subscribers will fall to 20,000. At which of the following prices does Small Town Cablevision earn the greatest total revenue?
- A. €0 per month
 - B. €30 per month
 - C. €40 per month
 - D. Either €30 or €40 per month because the price elasticity of demand is 1.0.

ANSWER: B

241. If demand is linear (a straight line), then price elasticity of demand is
- A. Elastic in the upper portion and inelastic in the lower portion.
 - B. Inelastic in the upper portion and elastic in the lower portion.
 - C. Inelastic throughout.
 - D. Constant along the demand curve.
 - E. Elastic throughout.

ANSWER: A

242. If consumers think that there are very few substitutes for a good, then
- A. Supply would tend to be price elastic.
 - B. Demand would tend to be price inelastic.
 - C. Demand would tend to be price elastic.
 - D. Supply would tend to be price inelastic.

ANSWER: B

243. For a price ceiling to be a binding constraint on the market, the government must set it
- A. Above the equilibrium price.
 - B. Below the equilibrium price.
 - C. Precisely at the equilibrium price.
 - D. At any price because all price ceilings are binding constraints.

ANSWER: B

244. A binding price ceiling creates
- A. a shortage or a surplus depending on whether the price ceiling is set above or below the equilibrium price.
 - B. A surplus.
 - C. A shortage.
 - D. Equilibrium.

ANSWER: C

245. Suppose the equilibrium price for apartments is €500 per month and the government imposes rent controls of €250. Which of the following is unlikely to occur as a result of the rent controls?
- A. There may be long lines of buyers waiting for apartments.
 - B. Landlords may discriminate among apartment renters.
 - C. Landlords may be offered bribes to rent apartments.
 - D. There will be a shortage of housing.
 - E. The quality of apartments will improve.

ANSWER: E

246. A price floor
- A. Always determines the price at which a good must be sold.
 - B. Sets a legal maximum on the price at which a good can be sold.
 - C. Is not a binding constraint if it is set above the equilibrium price.
 - D. Sets a legal minimum on the price at which a good can be sold.

ANSWER: D

247. Which of the following statements about a binding price ceiling is true?
- A. The shortage created by the price ceiling is greater in the short run than in the long run.
 - B. The surplus created by the price ceiling is greater in the short run than in the long run.
 - C. The surplus created by the price ceiling is greater in the long run than in the short run.
 - D. The shortage created by the price ceiling is greater in the long run than in the short run.

ANSWER: D

248. Which side of the market is more likely to lobby government for a price floor?
- A. the buyers
 - B. Neither buyers nor sellers desire a price floor.
 - C. the sellers
 - D. Both buyers and sellers desire a price floor.

ANSWER: C

249. The surplus caused by a binding price floor will be greatest if
- A. Demand is inelastic and supply is elastic.
 - B. Supply is inelastic and demand is elastic.
 - C. Both supply and demand are elastic.
 - D. Both supply and demand are inelastic.

ANSWER: C

250. Which of the following is an example of a price floor?
- A. the minimum wage
 - B. rent controls
 - C. restricting petrol prices to €1.00 per litre when the equilibrium price is €1.50 per litre
 - D. All of these answers are price floors.

ANSWER: A

251. Which of the following statements is true if the government places a price ceiling on petrol at €1.50 per litre and the equilibrium price is €1.00 per litre?
- A. A significant increase in the demand for petrol could cause the price ceiling to become a binding constraint.
 - B. A significant increase in the supply of petrol could cause the price ceiling to become a binding constraint.
 - C. There will be a shortage of petrol.
 - D. There will be a surplus of petrol.

ANSWER:

252. Which of the following workers would be most likely to find it more difficult to get a job after a rise in the minimum wage rate?
- A. A teenage worker with few qualifications.
 - B. A manual worker with fifteen years of work experience.
 - C. A professional worker with a university degree.
 - D. All three are equally likely to find it difficult to get a job.

ANSWER: A

253. Within the supply and demand model, a tax collected from the buyers of a good shifts the
- A. Supply curve downward by the size of the tax per unit.
 - B. Supply curve upward by the size of the tax per unit.
 - C. Demand curve upward by the size of the tax per unit.
 - D. Demand curve downward by the size of the tax per unit.

ANSWER: D

254. Within the supply and demand model, a tax collected from the sellers of a good shifts the
- A. Demand curve downward by the size of the tax per unit.
 - B. Supply curve downward by the size of the tax per unit.
 - C. Demand curve upward by the size of the tax per unit.
 - D. Supply curve upward by the size of the tax per unit.

ANSWER: D

255. Which of the following takes place when a tax is placed a good?
- A. a decrease in the price buyers pay, an increase in the price sellers receive, and a decrease in the quantity sold
 - B. an increase in the price buyers pay, a decrease in the price sellers receive, and an increase in the quantity sold
 - C. a decrease in the price buyers pay, an increase in the price sellers receive, and an increase in the quantity sold
 - D. an increase in the price buyers pay, a decrease in the price sellers receive, and a decrease in the quantity sold

ANSWER: D

256. When a tax is collected from the buyers in a market,
- A. The tax burden falls most heavily on the buyers.
 - B. The buyers bear the burden of the tax.
 - C. The sellers bear the burden of the tax.
 - D. The tax burden on the buyers and sellers is the same as an equivalent tax collected from the sellers.

ANSWER: D

257. A tax of €1.00 per litre on petrol
- A. Places a tax wedge of €1.00 between the prices the buyers pay and the price the sellers receive.
 - B. Decreases the price the sellers receive by €1.00 per litre.
 - C. Increases the price the buyers pay by €1.00 per litre.
 - D. Increases the price the buyers pay by precisely €0.50 and reduces the price received by sellers by precisely €0.50.

ANSWER: A

258. The burden of a tax falls more heavily on the sellers in a market when
- A. Both supply and demand are elastic.
 - B. Both supply and demand are inelastic.
 - C. Demand is inelastic and supply is elastic.
 - D. Demand is elastic and supply is inelastic.

ANSWER: D

259. A tax placed on a good that is a necessity for consumers will likely generate a tax burden that
- A. Falls more heavily on sellers.
 - B. Falls entirely on sellers.
 - C. Falls more heavily on buyers.
 - D. Is evenly distributed between buyers and sellers.

ANSWER: C

260. The burden of a tax falls more heavily on the buyers in a market when
- A. Both supply and demand are inelastic.
 - B. Demand is elastic and supply is inelastic.
 - C. Both supply and demand are elastic.
 - D. Demand is inelastic and supply is elastic.

ANSWER: D

261. Which of the following statements about the burden of a tax is correct?
- A. The tax burdens generated from a tax placed on good consumers perceive to be a necessity will fall most heavily on the sellers of the good.
 - B. The burden of a tax falls on the side of the market (buyers or sellers) from which it is collected.
 - C. The distribution of the burden of a tax is determined by the relative elasticities of supply and demand and is not determined by legislation.
 - D. The tax burden falls most heavily on the side of the market (buyers or sellers) that is most willing to leave the market when price movements are unfavourable to them.

ANSWER: C

262. Consumer surplus is the area
- A. Below the demand curve and above the price.
 - B. Above the supply curve and below the price.
 - C. Above the demand curve and below the price.
 - D. Below the supply curve and above the price.
 - E. Below the demand curve and above the supply curve.

ANSWER: A

263. A buyer's willingness to pay is that buyer's
- A. Minimum amount they are willing to pay for a good.
 - B. Producer surplus.
 - C. Consumer surplus.
 - D. Maximum amount they are willing to pay for a good.
 - E. None of these answers.

ANSWER: D

264. If a buyer's willingness to pay for a new Honda is €20,000 and she is able to actually buy it for €18,000, her consumer surplus is
- A. €18,000.
 - B. €20,000.
 - C. €2,000.
 - D. €0.
 - E. €38,000.

ANSWER: C

265. An increase in the price of a good along a stationary demand curve
- A. Improves the material welfare of the buyers.
 - B. Decreases consumer surplus.
 - C. Improves market efficiency.
 - D. Increases consumer surplus.

ANSWER: B

266. Producer surplus is the area
- A. Below the supply curve and above the price.
 - B. Below the demand curve and above the supply curve.
 - C. Below the demand curve and above the price.
 - D. Above the demand curve and below the price.
 - E. Above the supply curve and below the price.

ANSWER: E

267. If a benevolent social planner chooses to produce less than the equilibrium quantity of a good, then
- A. Total surplus is maximized.
 - B. The value placed on the last unit of production by buyers exceeds the cost of production.
 - C. Producer surplus is maximized.
 - D. The cost of production on the last unit produced exceeds the value placed on it by buyers.
 - E. Consumer surplus is maximized.

ANSWER: B

268. If a benevolent social planner chooses to produce more than the equilibrium quantity of a good, then
- A. The value placed on the last unit of production by buyers exceeds the cost of production.
 - B. The cost of production on the last unit produced exceeds the value placed on it by buyers.
 - C. Consumer surplus is maximized.
 - D. Total surplus is maximized.
 - E. Producer surplus is maximized.

ANSWER: B

269. The seller's cost of production is
- A. The minimum amount the seller is willing to accept for a good.
 - B. The seller's producer surplus.
 - C. The maximum amount the seller is willing to accept for a good.
 - D. The seller's consumer surplus.

ANSWER: A

270. Total surplus is the area
- A. Above the supply curve and below the price.
 - B. Below the demand curve and above the price.
 - C. Below the demand curve and above the supply curve.
 - D. Below the supply curve and above the price.
 - E. Above the demand curve and below the price.

ANSWER: C

271. An increase in the price of a good along a stationary supply curve
- A. Increases producer surplus.
 - B. Decreases producer surplus.
 - C. Improves market equity.

ANSWER: A

272. Adam Smith's "invisible hand" concept suggests that a competitive market outcome
- A. Maximizes total surplus.
 - B. Generates equality among the members of society.
 - C. Minimizes total surplus.
 - D. Both maximizes total surplus and generates equality among the members of society.

ANSWER: A

273. In general, if a benevolent social planner wanted to maximize the total benefits received by buyers and sellers in a market, the planner should
- A. Choose a price below the market equilibrium price.
 - B. Allow the market to seek equilibrium on its own.
 - C. Choose any price the planner wants because the losses to the sellers (buyers) from any change in price are exactly offset by the gains to the buyers (sellers).
 - D. Choose a price above the market equilibrium price.

ANSWER: B

274. If buyers are rational and there is no market failure,
- A. Free market solutions are efficient.
 - B. Free market solutions maximize total surplus.
 - C. Free market solutions are equitable.
 - D. Free market solutions are efficient and free market solutions maximize total surplus.

ANSWER: D

275. If a producer has market power (can influence the price of the product in the market) then free market solutions
- A. Are equitable.
 - B. Are efficient.
 - C. Maximize consumer surplus.
 - D. Are inefficient.

ANSWER: D

276. If a market is efficient, then
- A. The market allocates buyers to the sellers who can produce the good at least cost.
 - B. The market allocates output to the buyers that value it the most
 - C. The quantity produced in the market maximizes the sum of consumer and producer surplus.
 - D. All of these answer

ANSWER: D

278. If a market generates a side effect or externality, then free market solutions
- A. Maximize producer surplus.
 - B. Are efficient.
 - C. Are inefficient.
 - D. Are equitable.

ANSWER: C

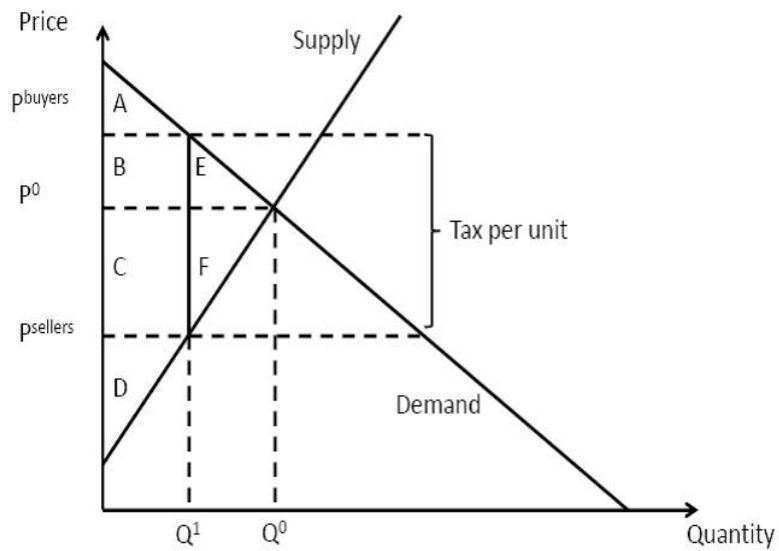
279. Medical care clearly enhances people's lives. Therefore, we should consume medical care until
- A. Everyone has as much as they would like.
 - B. The benefit buyers place on medical care is equal to the cost of producing it.
 - C. Buyers receive no benefit from another unit of medical care.
 - D. We must cut back on the consumption of other goods.

ANSWER: B

290. Sadio Mane has ten pairs of football boots and Sue has none. A pair of football boots costs €50 to produce. If Sadio Mane values an additional pair of boots at €100 and Sue values a pair of boots at €40, then to maximize
- A. Efficiency Sue should receive the glove.
 - B. Efficiency Sadio Mane should receive the glove.
 - C. Equity, Sadio Mane should receive the glove.
 - D. Consumer surplus both should receive a glove.

ANSWER: B

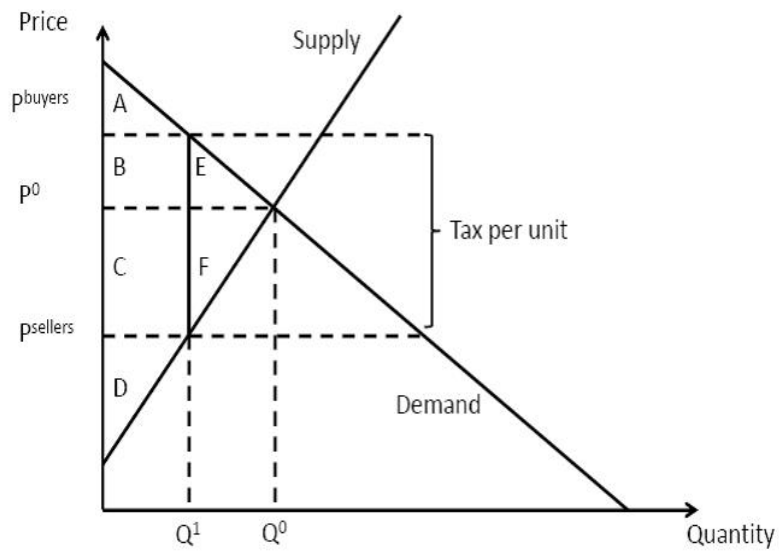
291. Refer to Figure below. If there is no tax placed on the product in this market, consumer surplus is the area



- A. $C + D + F$.
- B. A.
- C. $A + B + E$.
- D. $D + C + B$.
- E. $A + B + C$.

ANSWER: C

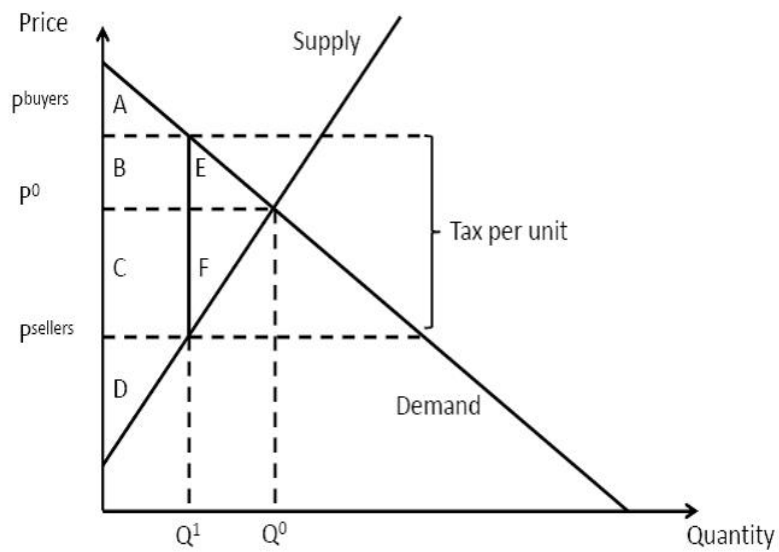
292. Refer to Figure below. If there is no tax placed on the product in this market, producer surplus is the area



- A. $A + B + E$.
- B. D .
- C. $C + F$.
- D. $A + B + C + D$.
- E. $C + D + F$.

ANSWER: E

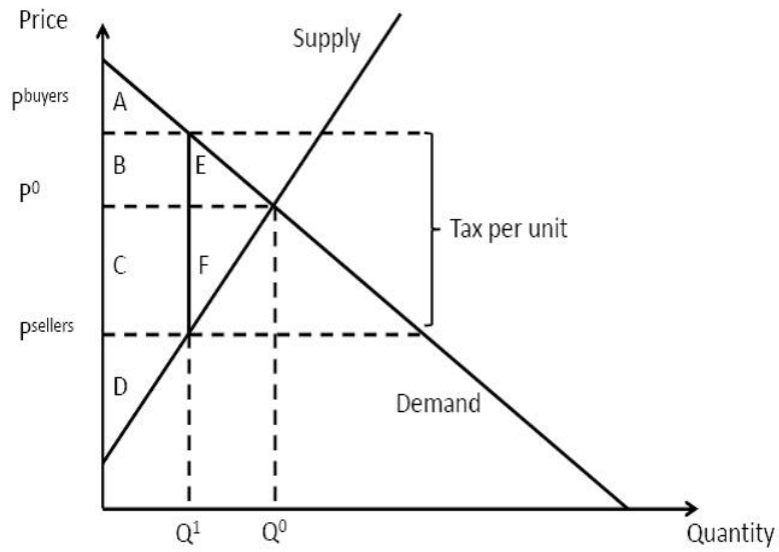
293. Refer to Figure below. If a tax is placed on the product in this market, consumer surplus is the area



- A. D.
- B. A.
- C. $A + B + E$.
- D. $A + B + C + D$.
- E. $A + B$.

ANSWER: B

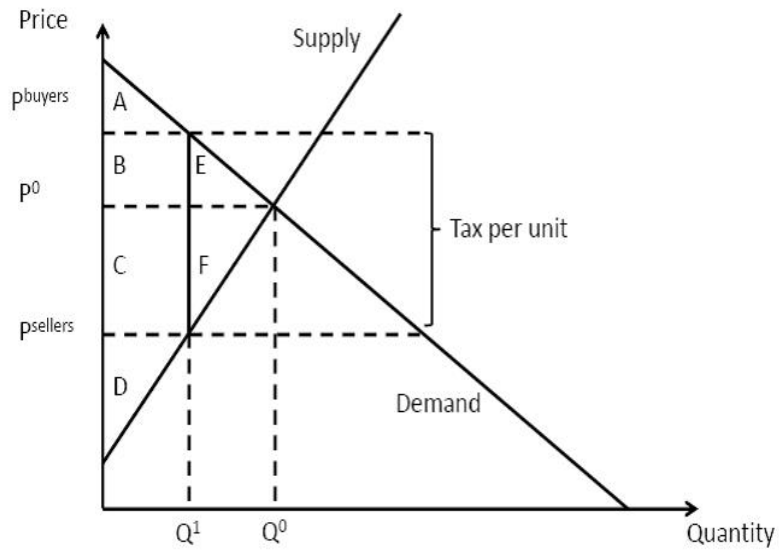
294. Refer to Figure below. If a tax is placed on the product in this market, producer surplus is the area



- A. $A + B + E$.
- B. $A + B + C + D$.
- C. A.
- D. D.
- E. $C + D + F$.

ANSWER: D

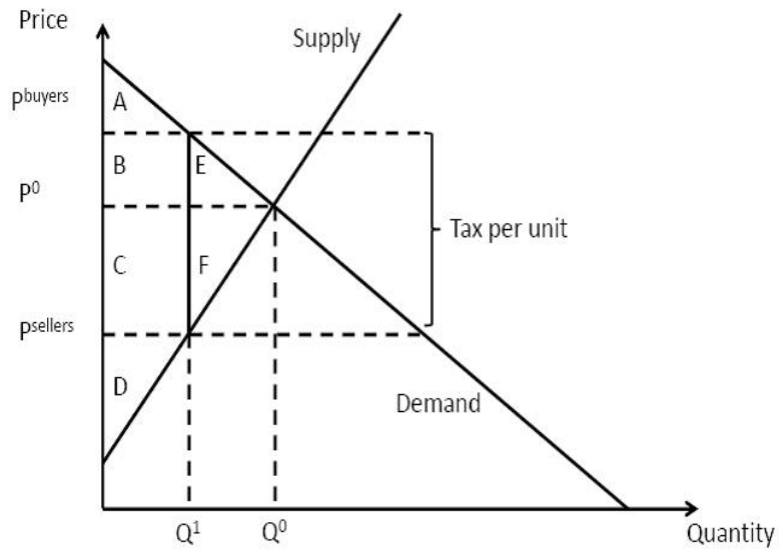
295. Refer to Figure below. If a tax is placed on the product in this market, tax revenue paid by the buyers is the area



- A. $B + C + E + F$.
- B. B.
- C. $B + C$.
- D. A.
- E. C.

ANSWER: B

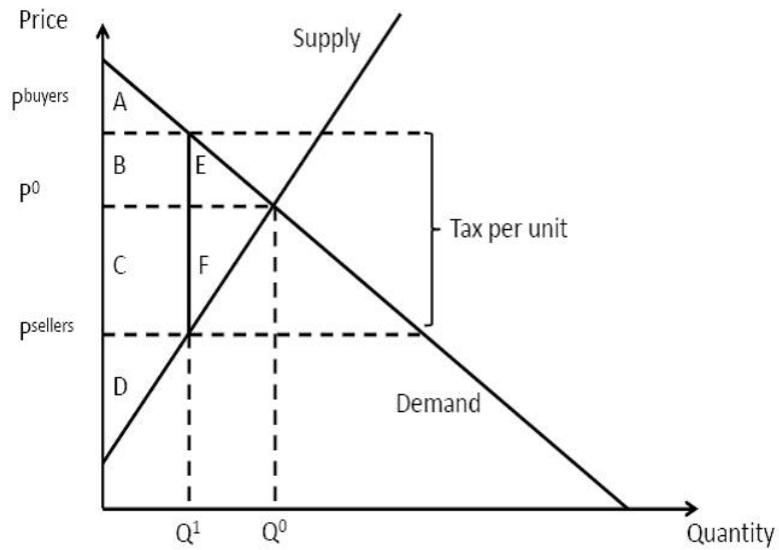
296. Refer to Figure below. If a tax is placed on the product in this market, tax revenue paid by the sellers is the area



- A. C + F.
- B. A.
- C. B.
- D. B + C + E + F.
- E. C.

ANSWER: E

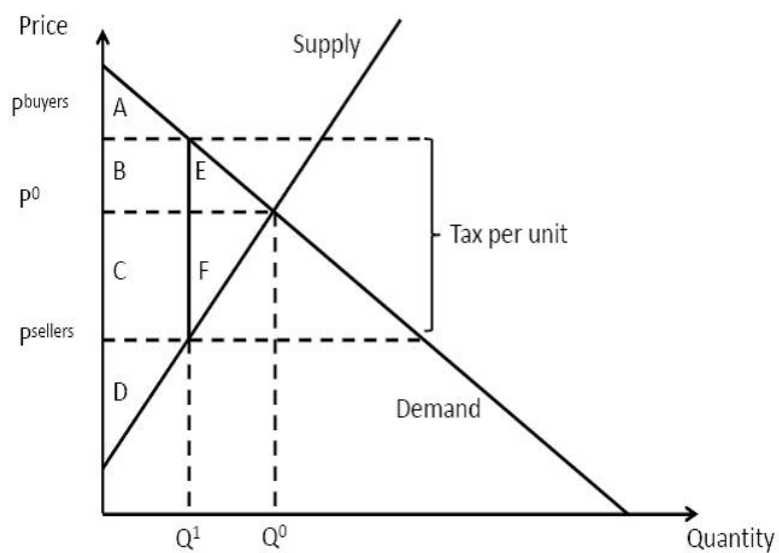
297. Refer to Figure below. If there is no tax placed on the product in this market, total surplus is the area



- A. $B + C + E + F$.
- B. $E + F$.
- C. $A + B + C + D$.
- D. $A + B + C + D + E + F$.
- E. $A + D + E + F$.

ANSWER: D

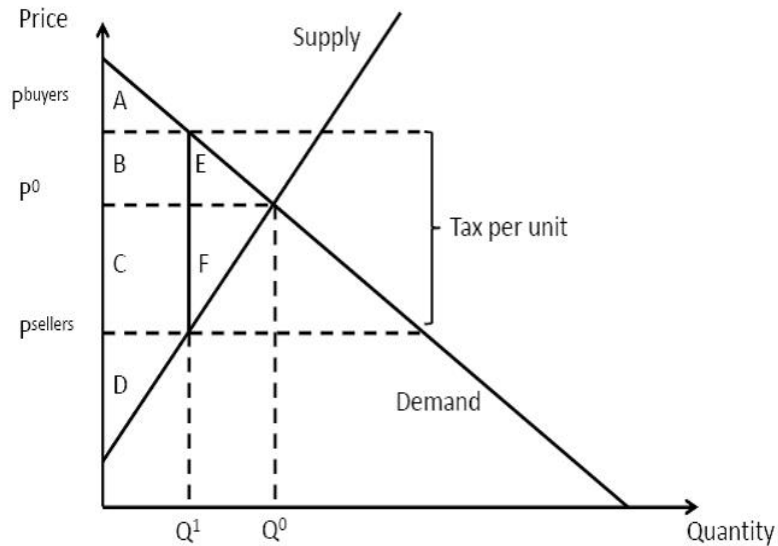
298. Refer to Figure below. If a tax is placed on the product in this market, total surplus is the area



- A. $A + B + C + D + E + F$.
- B. $A + B + C + D$.
- C. $A + D$.
- D. $B + C + E + F$.
- E. $E + F$.

ANSWER: B

299. Refer to Figure below. If a tax is placed on the product in this market, deadweight loss is the area



- A. B + C + E + F.
- B. E + F.
- C. B + C.
- D. A + B + C + D.
- E. A + D.

ANSWER: B

300. Which of the following would likely cause the greatest deadweight loss?
- A. a tax on salt
 - B. a tax on cigarettes
 - C. a tax on petrol
 - D. a tax on cruise line tickets

ANSWER: D

301. Deadweight loss is greatest when
- A. Supply is elastic and demand is perfectly inelastic.
 - B. Demand is elastic and supply is perfectly inelastic.
 - C. Both supply and demand are relatively inelastic.
 - D. Both supply and demand are relatively elastic.

ANSWER: D

302. Since the supply of undeveloped land is relatively inelastic, a tax on undeveloped land would generate
- A. A small deadweight loss and the burden of the tax would fall on the renter.
 - B. A large deadweight loss and the burden of the tax would fall on the landlord.
 - C. A large deadweight loss and the burden of the tax would fall on the renter.
 - D. A small deadweight loss and the burden of the tax would fall on the landlord.

ANSWER: D

303. Which of the following is true with regard to a tax on labour income? Taxes on labour income tend to encourage
- A. The unscrupulous to enter the underground economy.
 - B. The elderly to retire early.
 - C. Second earners to stay home.
 - D. Workers to work fewer hours.
 - E. all of the things described in these answers.

ANSWER: E

304. When a tax on a good starts small and is gradually increased, tax revenue
- A. Will fall.
 - B. will rise.
 - C. Will first rise and then fall.
 - D. Will first fall and then rise.
 - E. none of these answers

ANSWER: C

305. The graph that shows the relationship between the size of a tax and the tax revenue collected by the government is known as a
- A. Reagan curve.
 - B. Keynesian curve.
 - C. Laffer curve.
 - D. Henry George curve.

ANSWER: C

306. If a tax on a good is doubled, the deadweight loss from the tax
- A. Doubles.
 - B. Stays the same.
 - C. Increases by a factor of four.
 - D. Could rise or fall.

ANSWER: C

307. The reduction of a tax
- A. Will have no impact on tax revenue.
 - B. Will always reduce tax revenue regardless of the prior size of the tax.
 - C. Could increase tax revenue if the tax had been extremely high.
 - D. Causes a market to become less efficient.

ANSWER: C

308. When a tax distorts incentives to buyers and sellers so that fewer goods are produced and sold than otherwise, the tax has
- A. Caused a deadweight loss.
 - B. Decreased equity.
 - C. Generated no tax revenue.
 - D. Increased efficiency.

ANSWER: A

309. Accounting profit is equal to total revenue minus
- A. Implicit costs.
 - B. Variable costs.
 - C. The sum of implicit and explicit costs.
 - D. Explicit costs.
 - E. Marginal costs.

ANSWER: D

310. Economic profit is equal to total revenue minus
- A. Variable costs.
 - B. Implicit costs.
 - C. Explicit costs.
 - D. Marginal costs.

ANSWER: B

311. If there are implicit costs of production,
- A. Accounting profit will exceed economic profit.
 - B. Economic profit will always be zero.
 - C. Economic profit will exceed accounting profit.
 - D. Accounting profit will always be zero.
 - E. Economic profit and accounting profit will be equal.

ANSWER: A

312. If a production function exhibits diminishing marginal product, its slope
- A. Is linear (a straight line).
 - B. Becomes steeper as the quantity of the input increases.
 - C. Could be any of these answers.
 - D. Becomes flatter as the quantity of the input increases.

ANSWER: D

313. If a production function exhibits diminishing marginal product, the slope of the corresponding total-cost curve
- A. Is linear (a straight line).
 - B. is negative throughout its length
 - C. Becomes steeper as the quantity of output increases.
 - D. Becomes flatter as the quantity of output increases.

ANSWER: C

314. Which of the following is a variable cost in the short run?
- A. rent on the factory
 - B. wages paid to factory labor
 - C. interest payments on borrowed financial capital
 - D. payment on the lease for factory equipment
 - E. salaries paid to upper management

ANSWER: B

315. When marginal costs are below average total costs,
- A. Average fixed costs are rising.
 - B. Average total costs are falling.
 - C. Average total costs are rising.
 - D. Average total costs are minimized.

ANSWER: B

316. In the long run, if a very small factory were to expand its scale of operations, it is likely that it would initially experience
- A. An increase in average total costs.
 - B. Diseconomies of scale.
 - C. Economies of scale.
 - D. Constant returns to scale.

ANSWER: C

317. The efficient scale of production is the quantity of output that minimizes
- A. Average fixed cost.
 - B. Average total cost.
 - C. Average variable cost.
 - D. Marginal cost.

ANSWER: B

318. Which of the following is not a characteristic of a competitive market?
- A. There are many buyers and sellers in the market.
 - B. The goods offered for sale are largely the same.
 - C. Firms generate small but positive economic profits in the long run.
 - D. Firms can freely enter or exit the market.

ANSWER: C

319. Which of the following markets would most closely satisfy the requirements for a competitive market?
- A. electricity
 - B. cable television
 - C. cola
 - D. milk
 - E. Economics textbooks.

ANSWER: D

320. If a competitive firm doubles its output, its total revenue
- A. Doubles.
 - B. More than doubles.
 - C. Less than doubles.
 - D. Cannot be determined because the price of the good may rise or fall.

ANSWER: A

321. For a competitive firm, marginal revenue is
- A. Total revenue divided by the quantity sold.
 - B. Equal to the quantity of the good sold.
 - C. Average revenue divided by the quantity sold.
 - D. Equal to the price of the good sold.

ANSWER: D

322. The competitive firm maximizes profit when it produces output up to the point where
- A. price equals average variable cost.
 - B. marginal revenue equals average revenue.
 - C. marginal cost equals total revenue.
 - D. marginal cost equals marginal revenue.

ANSWER: D

323. A grocery store should close at night if the
- A. Variable costs of staying open are less than the total revenue due to staying open.
 - B. Total costs of staying open are less than the total revenue due to staying open.
 - C. Variable costs of staying open are greater than the total revenue due to staying open.
 - D. Total costs of staying open are greater than the total revenue due to staying open.

ANSWER: C

324. If an input necessary for production is in limited supply so that an expansion of the industry raises costs for all existing firms in the market, then the long-run market supply curve for a good could be
- A. Perfectly inelastic.
 - B. Perfectly elastic.
 - C. Upward sloping.
 - D. Downward sloping.

ANSWER: C

325. In long-run equilibrium in a competitive market, firms are operating at
- A. The minimum of their average-total-cost curves.
 - B. The intersection of marginal cost and marginal revenue.
 - C. Their efficient scale.
 - D. zero economic profit.
 - E. All of these answers are correct

ANSWER: E

326. Which of the following is not a barrier to entry in a monopolized market?
- A. A single firm is very large.
 - B. The government gives a single firm the exclusive right to produce some good.
 - C. The costs of production make a single producer more efficient than a large number of producers.
 - D. A key resource is owned by a single firm.

ANSWER: A

327. A firm whose average total cost continually declines at least to the quantity that could supply the entire market is known as a
- A. Natural monopoly.
 - B. Perfect competitor.
 - C. Government monopoly.
 - D. Regulated monopoly.

DEVELOPMENT ECONOMICS EXIT EXAM SAMPLE

1. Which of the following explains the term economic growth?

- A. Increase in per capita production
- B. Increase in per capita real income
- C. Structural change in the economy
- D. All the above are right

Answer: D

2. Economic development is characterized by

- A. Structural change in the economy
- B. Change in the occupational structure
- C. Both A and B
- D. None of the above

Answer: C

3. Underdevelopment is defined in terms of?

- A. National income
- B. Per capita income
- C. Poverty ratio
- D. Rate of unemployment

Answer: B

4. Which of the following explains the term economic development?

- A. Improvement in the technology involved
- B. Improvement in production
- C. Improvement in distribution system
- D. All the above

Answer: D

5. Which of the following is generally regarded as the true index of economic growth?

- A. An increase in national income at constant prices during a year
- B. A sustained increase in real per capita income
- C. An increase in national income at current prices over time
- D. An increase in national income along with a corresponding increase in population

Answer: A

6. The concept of economic growth is .

- A. Identical with the concept of economic development
- B. Narrower than the concept of economic development
- C. Wider as compared to that of economic development
- D. Unrelated to the concept of economic development

Answer: B

7.Which of the following is not an indicator of economically underdeveloped countries?

- A.Low per capita income
- B.High death-rate
- C.Low proportion of labor force in the primary sector
- D.High level of illiteracy

Answer: C

8.The rate of growth of an economy mainly depends upon .

- A.The rate of growth of the labor force
- B.The proportion of national income saved and invested
- C.The rate of technological improvements
- D.All of the above

Answer: D

9.Among the following determinants of growth, which is a non-economic factor?

- A.Natural resources
- B.Population growth
- C.Favourable legislation
- D.Capital accumulation

Answer: C

10.Besides increase in output, economic development is concerned with:

- A.Inputs and their efficiency
- B.Equitable distribution of income
- C.Life sustenance, self-esteem and freedom from want ignorance and squalor
- D.All of the above

Answer: D

11.Economic growth can be measured by .

- A.The CPI
- B.The CBI
- C.GDP
- D.MPC

Answer: C

12.Economic growth can be seen by an outward shift of .

- A.The Production Possibility Frontier
- B.The Gross Domestic Barrier
- C.The Marginal Consumption Frontier
- D.The Minimum Efficient Scale

Answer: A

13. Development economics is the study of the
- A. Alleviation of absolute poverty.
 - B. Transformation of institutions.
 - C. Allocation of resources in developing countries.
 - D. All of the above.

Answer: D

14. A good definition of the meaning of development is the .
- A. Elimination of absolute poverty.
 - B. Improvement in the quality of life.
 - C. Fulfillment of the potential of individuals.
 - D. All of the above.

Answer: D

15. Development economics must have a scope wider than traditional economics because
- A. Values and attitudes play little role in the pace of development.
 - B. People in developing societies do less utility-maximizing.
 - C. Transformation of social institutions is necessary for development.
 - D. All of the above.

Answer: C

16. Economic development refers to .
- A. Economic growth.
 - B. Economic growth plus changes in output distribution and economic structure.
 - C. Improvement in the well-being of the urban population.
 - D. Sustainable increases in Gross National Product.

Answer: B

17. Economic development means .
- A. Economic growth.
 - B. Economic growth plus structural and qualitative changes.
 - C. Improvement in the living standard of the urban population.
 - D. Sustainable increases in Gross National Product (GDP).

Answer: B

18. In the Ricardian scheme of things, savings are provided by .
- A. Labourers
 - B. Capitalists
 - C. Landlords
 - D. Both B and C

Answer: B

19. Which one of the following statements is not in tune with the Ricardian theory of growth?
- A. Rent tends to rise
 - B. Money wages tend to rise
 - C. Profits tend to fall
 - D. Profits tend to rise

Answer: D

20. Which one of the following is not an assumption of the Ricardian theory?

- A. Rising real wages
- B. Fixity of land
- C. Operation of the law of diminishing returns
- D. Perfect competition

Answer: A

21. Ricardo built his theory round .

- A. Value
- B. Capital
- C. Wages
- D. Natural resources

Answer: C

22. In the Ricardian system, a crucial role in development was assigned to .

- A. Specialisation
- B. Technological changes
- C. Profits
- D. Government

Answer: C

23. Which of the following models uses three distinct concepts of stages of growth?

- A. Ramsey model
- B. Harrod model
- C. Domar model
- D. Lewis model

Answer: B

24. The classical theory of economic development is of relevance for the less developed countries today because it lays emphasis on.

- A. Need for favourable institutional and social initiatives
- B. Extension of markets
- C. Capital accumulation
- D. All of the above

Answer: D

25. Which growth model inspired the use of capital-output ratio for development planning?

- A. the Harrod-Domar model
- B. Solow's mode
- C. Kaldor's model
- D. Feldman's model

Answer: A

26. Which of the following models makes the assumption of constant saving-income ratio?

- A.Kaldor model
- B.Leontief model
- C.Harrod-Domar model
- D.Joan Robinson model

Answer: C

27. The Harrod-Domar model is one of the well-known models of growth. Which of the two authors of this model wrote earlier and in which year?

- A.Domar in 1940
- B.Harrod in 1939
- C.Domar in 1946
- D.Domar in 1948

Answer: B

28. The concept of economic growth is .

- A.Identical with the concept of economic development
- B.Narrower than the concept of economic development
- C.Wider as compared to that of economic development
- D.Unrelated to the concept of economic development

Answer: B

29. Economic growth in India will happen necessarily if there is .

- A.Population growth
- B.Capital formation
- C.Technical progress in the global economy
- D.All the above

Answer: B

30. Which of the following is inconsistent with Adam Smith's theory of development?

- A.Development process is cumulative in nature
- B.There is no limit to the growth process
- C.Capital accumulation and market extension are two prerequisites for output expansion
- D.There should be no government interference in the working of the economy

Answer: B

31. Karl Marx ideas about development theory are available in .

- A.Communist Manifesto
- B.Das Kapital
- C.Capital
- D.None of these

Answer: C

32. In Schumpeter's theory of development maximum stress has been laid on:

- A.Capital
- B.Interest
- C.Land
- D.Entrepreneurship

Answer: D

33. Which sector was emphasised most by Ricardo in the context of economic growth?

- A.Trade
- B.Industry
- C.Agriculture
- D.Services

Answer: C

34. Which one of the following, according to Ricardo, would form a bottleneck to economic growth?

- A.Shortage of land
- B.Rising rent
- C.Shortage of gold and silver
- D.Rising wage bills

Answer: A

35. Which one of the following was given a central place by Schumpeter in his theory of development?

- A.Capital accumulation
- B.Role of the Government
- C.Need for balanced growth
- D.Role of innovations

Answer: D

36. In which year was the first volume of Das Capital by Karl Marx published?

- A. 1848
- B. 1859
- C. 1867
- D. 1873

Answer: C

37. Myrdal builds his theory of economic development around the idea of .

- A.Regional inequalities on the national plane
- B.Regional inequalities on the international plane
- C.Both A and B
- D.None of the above

Answer: C

38. The concept of, 'Vicious Circle of Poverty' is related to .

- A.Karl Marx
- B.Nurkse
- C.Adam Smith
- D.None of the above

Answer: B

39. Who formulated the theory of circular and cumulative causation which explains the perpetuation of underdevelopment through growing inequalities between developed and the underdeveloped countries?

- A.Lewis
- B.Gunnar Myrdal
- C.Higgins
- D.J. H. Boeke

Answer: B

40. In the context of which region was the 'big push' strategy of development formulated?

- A.South Asia
- B.South East Asia
- C.Eastern Europe
- D.East Africa

Answer: C

41. Which among the following is a characteristic of underdevelopment?

- A.Vicious circle of poverty
- B.Rising mass consumption
- C.Growth of industries
- D.High rate of urbanization

Answer: A

42. Who fixes the poverty line?

- A.Government
- B.Lok Sabha
- C.Rajya Sabha
- D.Planning Commission

Answer: D

43. The basic logic behind the 'big-push' strategy of development is related to .

- A.Internal economies
- B.External economies
- C.An optimum combination
- D.Both A and B

Answer: B

44. Under the 'big-push' strategy of development, large investments are to be directed towards .

- A.Agriculture
- B.Industry
- C.Power

Answer: A

45. The division of labor, according to Adam Smith, is limited by .

- A.The extent of the market
- B.The quantity of capital available
- C.Both (A) and (B)
- D.The size of labor force

Answer: C

46. The 'big-push' strategy of development was first advocated by:

A. Paul N. Rosenstein-Rodan

B. Simon Kuznets

C. W. A. Lewis

D. A. O. Hirshman

Answer: A

47. Who has given "Big Push Theory"?

A. R. Rodan

B. Jack Hamilton

C. Amartya Sen

D. Dr. Abhishek Mathur

Answer: A

49. Development with unlimited supplies of labour hypothesis was originally formulated by

A. Gustav Ranis

B. W. A. Lewis

C. R. Nurkse

D. J. Schumpeter

Answer: B

50. Identify the economist who first advocated a rolling plan for developing countries?

A. J. Robinson

B. N. Kaldor

C. G. Myrdal

D. Paul A. Samuelson

Answer: C

51. Gunnar Myrdal was awarded Noble Prize for Economics in 1974. What is his nationality?

A. Norwegian

B. Dutch

C. Swedish

D. American

Answer: C

52. Economic growth measures the?

A. Growth of productivity

B. Increase in nominal income

C. Increase in output

D. None of the above

Answer: C

53. The basic characteristic of an underdeveloped economy is .

- A.Low income and poverty
- B.Low productivity
- C.Low per capital income
- D.High illiteracy level

Answer: A

54. According to Lewis's model, the dual economy grows only when .

- A.The modern sector increases its output share relative to the traditional sector.
- B.Agricultural sector uses modern equipment.
- C.Agricultural sector hires labor economically.
- D.Modern manufacturing sector is labor- intensive.

Answer: A

55. The vicious circle theory states that .

- A.Growing government assistance creates addiction to welfare programs.
- B.Low income levels create pressure for money creation.
- C.Low income levels create pressure for cheap imports.
- D.Low per capita income creates low savings that keep incomes low.

Answer: D

56. Who have written the book "Capital and Growth"?

- A.R. Rodon
- B.Hicks
- C.Adam Smith
- D.Marshall

Answer: B

57. According to the supply side of the vicious circle theory of development a country is poor because.

- A.Technology levels do not allow for self sufficiency
- B.It was previously too poor to save and invest
- C.Underemployment is too widespread
- D.Resource allocation is poor

Answer: B

58. The synchronized application of capital to a wide range of different industries is called by its advocates.

- A.Balanced growth
- B.Capitalization
- C.Elasticity of capital
- D.Indivisibilities

Answer: A

59. For Rosentein Rodan a major indivisibility is in .

- A.Supply
- B.Infrastructure
- C.Agriculture
- D.Services

Answer: B

60. Economic growth is important because .
A.People wants less crime
B.People want be happier
C.People wants a better environment
D.People wants higher incomes and more consumer goods.
Answer: D

61. The golden-rule saving rate is the rate of saving that .
A.Gets the highest rate of interest
B.Maximises the level of long-run investment
C.Maximises the level of long-run consumption
DMaximises human capital
Answer: C

62. Backward and forward linkage are relevant for which kind of growth strategy?
A.Unbalanced growth
B.Trickle down growth
C.Balanced growth
D.Equilibrium growth
Answer: A

63. Two economists have been particularly associated with the formulation of development with surplus labour hypothesis. One is R. Nurkse. Who is the other?
A.W.A. Lewis
B.James S. Duessenberry
C.W.W. Rostow
D.Simon Kuznets
Answer: B

64. The concept of economic growth is .
A.Identical with the concept of economic development
B.Narrower than the concept of economic development
C.Wider as compared to that of economic development
D.Unrelated to the concept of economic development
Answer: B

65. The rate of growth of an economy mainly depends upon:
A.The rate of growth of the labour force
B.The proportion of national income saved and invested
C.The rate of technological improvements
D.All of the above
Answer: D

66. To achieve full economic growth, Malthus laid special emphasis on the proper combination of.

- A.Production and distribution
 - B.Natural resources and capital
 - C.Labour and technology
 - D.Production and trade
- Answer: A

67.According to R. Nurkse, the inducement to invest in the context of an underdeveloped economy is limited mainly by the:

- A.Lack of savings
 - B.Size of the market
 - C.Lack of investment opportunities
 - D.Low productivity of labour
- Answer: B

68.We can increase rate of economic growth in India if we increase:

- A.Taxes
 - B.Imports
 - C.Investment
 - D.Population
- Answer: C

69.When an economy produces more output per capital the economy is said to be having:

- A.Inflation
 - B.Economic growth
 - C.Economic planning
 - D.Living standard
- Answer: B

70. By growth rate of an economy can be speeded up.

- A.Investment in share market
 - B.Investment abroad
 - C.Investment in human capital formation
 - D.Investment in primary sector
- Answer: C

71.Gross domestic capital formation is defined as .

- A.Flow of expenditure devoted to increase or maintaining of the capital stock
 - B.Expenditure incurred on physical assets only
 - C.Production exceeding demand
 - D.Net addition to stock after depreciation
- Answer: D

72. Economic growth in India will happen necessarily if there is?

- A.Population growth
 - B.Capital formation
 - C.Technical progress
 - D.All the above
- Answer: B

73. The most important indicators of HRD .

- A.Those which measure a country's stock of human capital
- B.Those which measure the additions to this stock
- C.Both A and B
- D.None

Answer: C

74.The capital-output ratio is determined by:

- A.Sectoral allocation of capital
- B.Level of economic activity
- C.Human and natural resources
- D.All of the above

Answer: D

75.HRD ways in education planning is / are.

- A.Manpower approach
- B.Social demand approach
- C.Rate of return approach
- D.All the above

Answer: D

76. Investment in human capital is related with expenditure in .

- A.Education
- B.Training
- C.Health Services
- D.All the above

Answer: D

77.Mechanism of Human Resource Development includes

- A.Job Redesign
- B.Rewards
- C.Human Resource Information System
- D.All of the above

Answer: D

78.Which of the following is correct regarding the Gross Domestic Savings in India?

- A.Contribution of Household sector is the largest
- B.Contribution of Government sector is the largest
- C.Contribution of Corporate sector is the largest
- D.None of these.

Answer: A

79. Which of the following would typically be considered "human capital"?

- A.Gender and race
- B.Health and education
- C.Prime ministers and presidents
- D.Religious world views and trust

Answer: A

80. According to the human capital view of education .

- A. Has no impact on the human capital of workers
- B. Increases human capital and the wages of workers
- C. Can make any worker into a superstar
- D. Only helps firms sort workers into high ability and low-ability workers.

Answer: B

80. All primary schools will be upgraded to the.

- A. High levels
- B. Middle level
- C. Secondary level
- D. None of these

Answer: B

ECONOMETRICS EXIT EXAM SAMPLE

1. Two events, A and B, are said to be mutually exclusive if:

A. $P(A | B) = 1$

B. $P(B | A) = 1$

C. $P(A \text{ and } B) = 1$

D. $P(A \text{ and } B) = 0$

Answer: D. $P(A \text{ and } B) = 0$

2. A Type I error occurs when we:

A. reject a false null hypothesis

B. reject a true null hypothesis

C. do not reject a false null hypothesis

D. do not reject a true null hypothesis

Answer: B. reject a true null hypothesis

3. What is the meaning of the term “heteroscedasticity”?

A. The variance of the errors is not constant

B. The variance of the dependent variable is not constant

C. The errors are not linearly independent of one another

D. The errors have non- zero mean

Answer: A. The variance of the errors is not constant

4. What would be the consequences for the OLS estimator if heteroscedasticity is present in a regression model but ignored?

A. It will be ignored

B. It will be inconsistent

C. It will be inefficient

D. All of A), C), B) will be true.

Answer: C. It will be inefficient

5. Which one of the following is NOT a plausible remedy for near multicollinearity?

- A. Use principal components analysis
- B. Drop one of the collinear variables
- C. Use a longer run of data
- D. Take logarithms of each of the variables

Answer: D. Take logarithms of each of the variables

6. What will be the properties of the OLS estimator in the presence of multicollinearity?

- A. It will be consistent unbiased and efficient
- B. It will be consistent and unbiased but not efficient
- C. It will be consistent but not unbiased
- D. It will not be consistent

Answer: A. It will be consistent unbiased and efficient

7. A sure way of removing multicollinearity from the model is to

- A. Work with panel data
- B. Drop variables that cause multicollinearity in the first place
- C. Transform the variables by first differencing them
- D. Obtaining additional sample data

Answer: B. Drop variables that cause multicollinearity in the first place

8. Autocorrelation is generally occurred in

- A. Cross-section data
- B. Time series data
- C. Pooled data
- D. None of the above

Answer: B. Time series data

9. The regression coefficient estimated in the presence of autocorrelation in the sample data are NOT

- A. Unbiased estimators
- B. Consistent estimators
- C. Efficient estimators
- D. Linear estimators

Answer: C. Efficient estimators

10. In the regression function $y = \alpha + \beta x + c$

- A. x is the regressor
- B. Y is the regressor
- C. x is the regressand
- D. none of these

Answer: A. x is the regressor

11. The coefficient of determination, r^2 shows

- A. Proportion of the variation in the dependent variable Y is explained by the independent variable X
- B. Proportion of the variation in the dependent variable X is explained by the independent variable Y
- C. Proportion of the variation in u_i is explained by the independent variable X
- D. Both a and c

Answer: A. Proportion of the variation in the dependent variable Y is explained by the independent variable X

12. BLUE is

- A. Best Linear Unbiased Estimator
- B. Best Linear Unconditional Estimator
- C. Basic Linear Unconditional Estimator
- D. Both b and c

Answer: A. Best Linear Unbiased Estimator

13. Data on one or variables collected at a given point of time

- A. Panel Data
- B. Time series data
- C. Pooled data
- D. Cross-section data

Answer: D. Cross-section data

14. The violation of the assumption of constant variance of the residual is known as

- A. Heteroscedasticity
- B. Multicollinearity
- C. Homoscedasticity
- D. Autocorrelation

Answer: A. Heteroscedasticity

15. Formula of coefficient determination is

- A. $1 + \text{RSS}/\text{TSS}$
- B. $1 - \text{RSS}/\text{ESS}$
- C. $1 - \text{RSS}/\text{TSS}$
- D. $1 * \text{RSS}/\text{TSS}$

Answer: C. $1 - \text{RSS}/\text{TSS}$

16. In confidence interval estimation, $\alpha = 5\%$, this means that this interval includes the true β with probability of

- A. 0.50%
- B. 50%
- C. 5%
- D. 95%

Answer: D. 95%

17. Consider a large population with a mean of 160 and a standard deviation of 25. A random sample of size 64 is taken from this population. What is the standard deviation of the sample mean?

A. 3.125

B. 2.5

C. 3.75

D. 5.625

Answer: A.3.125

18. In the case of multicollinearity which test will be insignificant?

A. f test

B. t test

C. both a and b

D. both are significant

Answer: B.t test

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Answer: A.Cross-section data

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A. ANOVA

B. ANCOVA

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D. All of the above

Answer: B.ANCOVA

21. When is the problem of dummy variable trap occur?

- A. When we take dummy variables more than the categories
- B. When we take dummy variables less than the categories
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- D. Both a and c

Answer: D.Both a and c

22. Durbin Watson test is associated with:

- A. Heteroscedasticity
- B. Multicollinearity
- C. Autocorrelation
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Answer: C.Autocorrelation

23. All are the types of specification errors EXCEPT:

- A. Omission of relevant variable
- B. Inclusion of unnecessary variable
- C. errors of measurement
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Answer: D.over identified

24. White's test is used for the detection of ————?

- A. multicollinearity
- B. hetroscedasticity
- C. Autocorrelation
- D. None of the above

Answer: B.hetroscedasticity

25. Which one is not the assumption of OLS?

- A. Perfect Multicollinearity
- B. zero covariance between error terms
- C. equal variance of disturbances
- D. Mean value of disturbances is

Answer: A.Perfect Multicollinearity

26. Scaling a dependent variable in log form in the log-lin model will———

- A. change both the intercept and slope
- B. change the slope but not the intercept
- C. change the intercept but not the slope
- D. intercepts and slope both remains unchanged

Answer: C.change the intercept but not the slope

27. Individual respondents, focus groups, and panels of respondents are categorized as

- A. Primary Data Sources
- B. Secondary Data Sources
- C. Itemized Data Sources
- D. Pointed Data Sources

Answer: A.Primary Data Sources

28. The scale applied in statistics which imparts a difference of magnitude and proportions is considered as

- A. Exponential Scale
- B. Goodness Scale
- C. Ratio Scale
- D. Satisfactory Scale

Answer: C.Ratio Scale

29. Homogeneity of three or more population correlation coefficients can be tested by

A. F-test

B. t-test

C. Z-test

D. χ^2 -test

Answer: D. χ^2 -test

30. The successive trials are with replacement in

A. Hypergeometric distribution

B. Binomial distribution

C. Geometric distribution

D. None of these

Answer: B. Binomial distribution

31. Probability of occurrence of an event lies between

A. -1 and 0

B. -1 and 1

C. 1 and 0

D. 100 and -100

Answer: C. 1 and 0

32. A discrete probability distribution may be represented by

A. Graph

B. Table

C. Mathematical Equation

D. All of These

Answer: D. All of These

33. Student's t-distribution curve is symmetrical about mean, it means that

A. Odd Order Moments are Zero

B. Even Order Moments are Zero

C. Both (A) and (B)

D. None of (A) and (B)

Answer: A. Odd Order Moments are Zero

34. Which one is equal to explained variation divided by total variation?

A. Sum of squares due to regression

B. Coefficient of Determination

C. Standard Error of Estimate

D. Coefficient of Correlation

Answer: B Coefficient of Determination

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$$P(A \mid B) = 1$$

$$P(B \mid A) = 1$$

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- B. zero covariance between error terms
- C. equal variance of disturbances
- D. Mean value of disturbances is

Answer: A. Perfect Multicollinearity

60. If the coefficient of variation is 100 the mean of the data is 25, then find the standard deviation.

- A.5
- B. 10
- C.15
- D.25

Answer: D

Clarification: Coefficient of Variance = $(\text{Standard Deviation}/\text{Mean}) \times 100$
 $\Rightarrow \text{Standard Deviation} = 25.$

61. If the standard deviation of a data is 820 and mean of the data is 50, find the coefficient of variation.

- A. 16.4
- B. 164
- C. 1640
- D. 1.64

Answer: A

Clarification: Coefficient of Variance = $(\text{Standard Deviation}/\text{Mean}) \times 100$
 $\Rightarrow \text{Coefficient of Variance} = (820/50) \times 100 = 16.4.$

62. If standard deviation of a data is 40 and the coefficient of variation is 25600, then find the mean.

- A. 64
- B. 6.4
- C. 640
- D.0.64

Answer: B

Clarification: Coefficient of Variance = $(\text{Standard Deviation}/\text{Mean}) \times 100$
 $\Rightarrow \text{Mean} = 25600/4000 = 6.4.$

INTERNATIONAL ECONOMICS EXIT EXAM

1. The International Economy and Globalization a primary reason why nations conduct international trade is because:

- A. Some nations prefer to produce one thing while others produce another
- B. Resources are not equally distributed to all trading nations
- C. Trade enhances opportunities to accumulate profits
- D. Interest rates are not identical in all trading nations.

Answer: B

2. A main advantage of specialization results from:

- A. Economics of large scale production
- B. The specializing country behaving as a monopoly
- C. Smaller production runs resulting in lower unit costs.
- D. High wages paid to foreign workers.

Answer: A

3. International trade in goods and services is sometimes used as a substitute for all of the following except:

- A. International movements of capital.
- B. International movements of labour.
- C. International movements of technology
- D. Domestic production of different goods and services

Answer: D

4. If a nation has an open economy it means that the nation:

A. Allows private ownership of capital.

B. Has flexible exchange rates

C. Has fixed exchange rates

*D. Conducts trade with other countries

Answer: B

5. International trade forces domestic firms to become more competitive in terms of:

A. The introduction of new products

B. Product design and quality

C. Product price

D. All of the above

Answer: D

6. The movement to free international trade is most likely to generate short-term unemployment in which industries:

A. Industries in which there are neither imports nor exports.

*B. Import-competing industries.

C. Industries that sell to domestic and foreign buyers

D. Industries that sell to only foreign buyers

7. International trade is based on the idea that:

A. Exports should exceed imports

B. Imports should exceed exports

C. Resources are more mobile internationally than are goods

*D. Resources are less mobile internationally than are goods

Answer: D

8. Arguments for free trade are sometimes disregarded by politicians because:

A. Maximizing domestic efficiency is not considered important

*B. Maximizing consumer welfare may not be a chief priority

C. There exist sound economic reasons for keeping one's economy isolated from other economies.

D. Economists tend to favour highly protected domestic markets

Answer: B

9. Which American industry has least been affected by import competition in recent years

A. Automobiles

B. Steel

C. Radios and TVs

*D. Computer software.

Answer: D

10. The largest amount of trade with United States in recent years has been conducted by:

*A. Canada

B. Germany

C. Mexico

D. United Kingdom

Answer: A

11. Increased foreign competition tends to:-

- A. Intensify inflationary pressure at home
- B. Induce falling output per worker-hour for domestic workers
- *C. Place constraints on the wages of domestic workers
- D. Increase profits of domestic import-competing industries

Answer: C

12. For the United States, exports plus imports are about _____ of its gross national product:

- A. 5 percent
- B. 10 percent
- *C. 25 percent
- D. 55 percent

Answer: C

13. Major trading partners of the United States including all of the following countries except:

- A. Canada
- B. Mexico
- C. China
- *D. North Korea

Answer: A

14. Free traders maintain that an open economy is advantageous in that it provides all of the following except:

- A. Increased competition for world producers
- B. A wider selection of products for consumers
- C. The utilization of the most efficient production methods
- *D. Relatively high wages levels for all domestic workers

Answer: D

15. Recent pressures for protectionism in the United States have been motivated by all of the following except:

- A. U.S. firms shipping component production overseas
- *B. High profit levels for American corporations
- C. Sluggish rates of productivity growth in the United States
- D. High unemployment rates among American workers

Answer: B

16. International trade tends to cause welfare losses to at least some groups in a country:-

- *A. The less mobile the country's resources
- B. The more mobile the country's resources
- C. The lower the country's initial living standard
- D. The higher the country's initial living standard

Answer: A

17. For the United States, automobiles are:

- A. Imported, but not exported
- B. Exported, but not imported
- *C. Exported and imported
- D. Neither imported nor exported

Answer: C

18. A feasible effect of international trade is that a (an):

- *A. Monopoly in the home market becomes an oligopoly in the world market
- B. Oligopoly in the home market becomes a monopoly in the world market
- C. Purely competitive firm in the home market becomes an oligopolist
- D. Purely competitive firm in the home market becomes a monopolist

Answer: A

19. International trade in goods and services tends to:

- A. Increase all domestic costs and prices
- B. Keep all domestic costs and prices at the same level
- C. Lessen the amount of competition facing home manufacturers
- *D. Increase the amount of competition facing home manufacturers

Answer: D

20. The real income of domestic producers and consumers can be increased by:

- A. Technological progress, but not international trade
- B. International trade, but not technological progress
- *C. Technological progress and international trade
- D. Neither technological progress nor international trade

Answer: C

21. For the United States, commercial jetliners are:

- A. Imported, but not exported
- B. Exported, but not imported
- *C. Imported and exported
- D. Neither exported nor imported

Answer: C

22. Technological improvements are similar to international trade since both:

- A. Provide benefits for all producers and consumers.
- *B. Increase the nation's aggregate income.
- C. Reduce unemployment for all domestic workers.
- D. Ensure that industries can operate at less than full capacity.

Answer: B

23. A sudden shift from import tariffs to free trade may induce short-term unemployment in:

- *A. Import-competing industries
- B. Industries that are only exporters
- C. Industries that sell domestically as well as export
- D. Industries that neither import nor export

Answer: A

24. A reduced share of the world export market for the United States would be attributed to:

- *A. Decreased productivity in U.S. manufacturing.
- B. High incomes of American households.

- C. Relatively low interest rates in the United States.
- D. High levels of investment by American corporations.

Answer: A

25. the most recent wave of globalization, which began in the 1980s, has emphasized the outsourcing of:

- *A. services and white-collar jobs
- B. manufacturing and blue-collar jobs
- C. natural resource extraction and mining jobs
- D. agriculture and farming jobs

Answer: A

26. A country's openness to international trade can be measured by the formula

- A. $\text{Exports} + \text{Imports} + \text{GDP}$
- B. $\text{Exports} - \text{Imports} - \text{GDP}$
- C. $(\text{Exports} + \text{Imports}) / \text{GDP}$
- D. $(\text{Exports} + \text{Imports}) \times \text{GDP}$

Answer: C

28. Which trade theory contends that a country that initially develops and exports a new product may eventually become an importer of it, and may no longer manufacture the product?

- A. Theory of factor endowments
- B. Theory of overlapping demands
- C. Economies of scale theory
- *D. Product life cycle theory

Answer: D

29. The theory of overlapping demands predicts that trade in manufactured goods is unimportant for countries with very different:

A. Tastes and preferences
rate levels

B. Expectations of future interest

*C. Per-capita income levels

D. Labour productivities

Answer: C

30. The trade model of the Swedish economists Heckscher and Ohlin maintains that:

A. Absolute advantage determines the distribution of the gains from trade.

B. Comparative advantage determines the distribution of the gains from trade.

C. The division of labour is limited by the size of the world market.

*D. A country exports goods for which its resource endowments are most suited.

Answer: D

31. According to the factor endowment model of Heckscher and Ohlin, countries heavily endowed with land will:

A. Devote excessive amounts of resources to agricultural production.

B. Devote insufficient amounts of resources to agricultural production.

*C. Export products those are land-intensive.

D. Import products that are land-intensive.

Answer: C

32. According to the _____, the export of the product that embodies large amounts of the relatively cheap, abundant resource results in an increase in its price and income; at the same time, the price and income of the resource used intensively in the import-competing product decreases as its demand falls.

A. Ricardian equivalence theorem

B. Smithian equivalence theorem

C. Stolpher-Samuelson theorem

* D. Bernanke-Greenspan theorem

Answer: D

33. For the United States, empirical studies indicate that over the past two hundred years the cost of international transportation relative to the value of U.S. imports has:

A. Increased

*B. Decreased

C. Not changed

D. Any of the above

Answer: B

34. According to the trade theory of Staffan Linder, trade tends to be most pronounced in manufactured goods when trading countries have

A. similar endowments of natural resources

B. similar levels of technology

*C. similar per-capita incomes

D. Similar wage levels

Answer: C

35. _____ 1954 study of U.S. trade patterns showed that U.S. exports were labour-intensive compared with U.S. imports, even though the United States was widely regarded as a relatively capital-abundant nation.

A. Paul Samuelson's

B. Wolfgang Stolper's

C. Staffan Linder's

*D. Wassily Leontief's

Answer: D

36. Should international transportation costs decrease, the effect on international trade would include a (an):

- *A. Increase in the volume of trade
- B. Smaller gain from trade
- C. Decline in the income of home producers.
- D. Decrease in the level of specialization in production.

Answer: A

37. That the division of labour is limited by the size of the market best applies to which explanation of trade:

- A. Factor endowment theory
- B. Product life cycle theory
- *C. Economies of scale theory
- D. Overlapping demand theory.

Answer: D

38. Intra-industry trade theory

- A. explains why the United States might export autos and import clothing .
- *B. explains why the United States might export and import differentiated versions of the same product, such as different types of autos.
- C. assumes that transport costs are very low or do not exist.
- D. ignores seasonal considerations for agricultural goods.

Answer: B

39. Dynamic comparative advantage theory.

*A. helps explain why some nations use industrial policy to support potentially competitive new firms

B. cannot explain strategic competition between firms such as Boeing and Airbus

C. is another name for Ricardo's comparative advantage theory

Answer: A

40. According to the Heckscher-Ohlin model, the source of comparative advantage is a country's: A. technology B. advertising *C. factor endowments D. both (a) and (c) **Answer: D**

41. The Heckscher-Ohlin model rules out the classical model's basis for trade by assuming that _____ is (are) identical between countries.

A. factor endowments

B. factor intensities

*C. technology

D. opportunity costs

Answer: C

42. The comparative advantage model of Ricardo was based on

A. intraindustry specialization and trade

*B. interindustry specialization and trade

C. demand conditions underlying specialization and trade

D. income conditions underlying specialization and trade

Answer: B

43. The product cycle theory of trade is essentially a

- A. static, short run trade theory
- *B. dynamic, long run trade theory
- C. zero-sum theory of trade
- D. negative-sum theory of trade.

Answer: B

44. The _____ analyses the income distribution effects of trade in the short run, when resources are immobile among industries.

- A. Stolpher-Samuelson theory.
- B. factor endowment theory.
- *C. specific factors theory.
- D. overlapping demand theory.

Answer: C

45. Industrial policies intended to foster comparative advantage for domestic industries could result in the implementation of

- A. research and development
- B. loan guarantees
- C. low interest rate loans
- *D. all of the above

Answer: D

46. By reducing the volume of trade, transportation costs tend to

A. stops the process of product price equalization and factor price equalization before they are complete

* B. ensure that the process of product price equalization and factor price equalization are complete

C. eliminates all of the feasible gains from international trade.

D. maximizes all of the feasible gains from international trade.

Answer: B

47. If tastes are identical between countries, then comparative advantage is determined by:

*A. supply conditions only.

B. demand conditions only.

C. supply and demand conditions.

D. can't tell without more information.

Answer: A

48. The Heckscher-Ohlin theorem states that a country will have comparative advantage in the good whose production is relatively intensive in the _____ with which the country is relatively abundant.

A. tastes

B. technology

*C. factor/resource

D. opportunity cost

Answer: C

49. One of the predictions of the Heckscher-Ohlin model is that:

A. countries with different factor endowments but similar technologies and preferences will have a strong basis for trade with each other.

B. countries will tend to specialize, but not completely, in their comparative advantage good.

C. reciprocal demand leads to an equilibrium terms of trade by inducing changes in both demand and supply.

*D. all of the above.

Answer: D

50. Wassily Leontief used an input-output table in order to test the:

A. Ricardian theory of comparative advantage

*B. Heckscher Ohlin theory of comparative advantage

C. Linder theory of overlapping demand

D. all of the above

Answer: B

51. The Heckscher-Ohlin assumes that _____ are identical between countries.

A. tastes and preferences

B. technology levels

C. factor endowments

*D. both (A) and (B)

Answer: D

52. In his empirical tests, Wassily Leontief used an input-output table to

*A. Calculate the capital and labour required to produce \$1 million of U.S. exports and imports.

B. calculates the labour productivity of American workers relative to foreign workers.

C. calculates the capital productivity of American capital relative to foreign capital.

D. all of the above

Answer: A

53. In his empirical test of comparative advantage, Wassily Leontief found that

A. U.S. exports are capital intensive relative to U.S. imports

B. U.S. imports are labour intensive relative to U.S. exports

C. U.S. exports are neither labour nor capital intensive

*D. none of the above

Answer: D

54. Leontief's results were considered paradoxical because the United States was believed to be

A. technologically efficient relative to the rest of the world

*B. capital abundant relative to the rest of the world

C. labour abundant relative to the rest of the world

D. all of the above

Answer: B

55. According to the Heckscher-Ohlin model

- A. everyone automatically gains from trade
- *B. the gainers from trade outnumber the losers from trade
- C. the scarce factor necessarily gains from trade
- D. none of the above

Answer: B

56. Wassily Leontief's results can be interpreted as a

- .A. evidence against the Ricardian model
- *B. evidence against the Heckscher-Ohlin model
- C. support for the Ricardian model
- D. support for the Heckscher-Ohlin model

Answer: B

57. Advocates of industrial policy maintain that government should

- A. pursue free trade as a policy that leads to maximum global efficiency
- *B. grant subsidies to firms offering potential comparative advantage
- C. provide loans to domestic workers in exporting industries
- D. increase interest rates on loans made to firms in import-competing industries

Answer: D

58. The factor endowment theory was pioneered by:

- A. Adam Smith.
- B. David Ricardo.
- C. Wassily Leontief.
- *D. Eli Heckscher and Bertil Ohlin.

Answer: D

59. By adjusting the model of comparative advantage to include transportation costs along with production costs, we would expect

A. the prices of traded goods to be lower than when there are no transportation costs.

B. specialization to stop when the production costs of the trading partners equalize.

*C. the volume of trade to be less than when there are no transportation costs.

D. the gains from trade to be greater than when there are no transportation costs.

Answer: C

60. Assume that Country A is relatively abundant in labour and Country B is relatively abundant in land. Note that wages are the returns to labour and rents are the returns to land. According to the factor price equalization theorem, once Country A begins specializing according to comparative advantage and trading with Country B

A wages and rents should fall in Country A.

B. wages and rents should rise in Country A.

*C. wages should rise and rents should fall in Country A.

D. wages should fall and rents should rise in Country A.

Answer: C

61. According to the factor price equalization theorem, the _____ factor should oppose free trade policies in any given country,

A. abundant

*B. scarce

C. neither

D. can't tell without more information

Answer: B

62. A product will be traded only if the pretrade price difference between the two countries

A. is less than the cost of transporting it between them.

*B. is greater than the cost of transporting it between them.

C. equals the cost of transporting it between them.

D. more information is needed to answer this question.

Answer: B

63. Intraindustry trade can be explained by all of the following except

A. high transportation costs as a proportion of product value.

B. different growing seasons of the year for agricultural products.

C. product differentiation for goods such as automobiles.

*D. high per capita incomes in exporting countries.

Answer: D

64. Tariffs A tax of 20 cents per unit of imported cheese would be an example of a (an):

A. Compound tariff.

B. Effective tariff.

C. Ad valorem tariff .

*D. Specific tariff.

Answer: D

65. A tax of 15 percent per imported item would be an example of a (an):

*A. Ad valorem tariff.

B. Specific tariff.

C. Effective tariff.

D. Compound tariff.

Answer: A

66. Which type of tariff is expressly forbidden by the U.S. Constitution?

A. Import tariff.

*B. Export tariff.

C. Specific tariff.

D. Ad valorem tariff.

Answer: B

67. Which trade policy results in the government levying both a specific tariff and an ad-valorem tariff on imported goods?

*A. Compound tariff.

B. Nominal tariff.

C. Effective tariff.

D. Revenue tariff.

Answer: D

67. For advanced countries such as the United States, tariffs on imported

Raw materials tend to be.

A. equal to tariffs on imported manufactured goods.

*B. lower than tariffs on imported manufactured goods.

C. higher than tariffs on imported manufactured goods.

D. the highest of all tariffs.

Answer: B

68. If we consider the impact on both consumers and producers, then protection of the steel industry is.

A. In the interest of the U.S. as a whole, but not in the interest of the state of Pennsylvania, where steel mills are located.

B. In the interest of the U.S. as a whole and in the interest of the state of Pennsylvania .

*C. Not in the interest of the U.S. as a whole, but it might be in the interest of the state of Pennsylvania

D. Not in the interest of the U.S. as a whole, nor in the interest of the state of Pennsylvania.

Answer: C

69. If I purchase a stereo from South Korea, I obtain the stereo and South Korea obtains the dollars. But if I purchase a stereo produced in the United States, I obtain the stereo and the dollars remain in America. This line of reasoning is:

A. valid for stereos, but not for most products imported by the U.S.

B. valid for most products imported by the U.S., but not for stereos.

*C. deceiving since Koreans eventually spend the dollars on U.S. goods.

D. deceiving since the dollars spent on a stereo built in the U.S. eventually winds up overseas.

Answer: C

70. Ad valorem tariffs are collected as.

A. fixed amounts of money per unit traded.

*B. a percentage of the price of the product

C. a percentage of the quantity of imports

D. all of the above

Answer: B

71. Specific tariffs are collected as.

- *A. fixed amount of money per unit traded.
- B. a percentage of the price of the product.
- C. a percentage of the quantity of imports.
- D. all of the above.

Answer: A

72. Most tariffs have.

- A. only revenue effects.
- B. only protective effects.
- *C. both protective and revenue effects.
- D. neither protective nor revenue effects.

Answer: C

73. The effective rate of protection.

- A. distinguishes between tariffs that are effective and those that are ineffective .
- B. is the minimum level at which a tariff becomes effective in limiting imports.
- C. shows how effective a tariff is in raising revenue for the government .
- *D. shows the increase in value added for domestic production that a particular tariff structure makes possible.

Answer: D

74. If a nation fitting the criteria for the large nation model imposes an import tariff

- A. the domestic price of the product will increase by more than the tariff itself.

B. the domestic price of the product will increase by the same amount as the tariff.

*C. the domestic price of the product will increase by less than the tariff.

D. none of the above.

Answer: C

75. The difference between what consumers have to pay for a particular and what they are willing to pay is known as.

*A. consumer surplus.

B. producer surplus.

C. deadweight costs.

D. dead weight surplus.

Answer: A

76. A tariff can _____ raise a country's welfare.

A. never.

*B. sometimes.

C. always.

Answer: B

77. In developed countries, tariffs on raw materials tend to be

A. highest of all.

B. higher than on manufactured goods.

C. equal to tariffs on manufactured goods.

*D. lower than on manufactured goods.

Answer: D

MATHEMATICAL ECONOMICS EXIT EXAM SAMPLE

1. Given Total revenue $= 20q - q^2$ the intervals for which total revenue functions is increasing?

- A. $q > 10$ B. $q < 10$ C. $q = 10$ D. $q > 0$

ANSWER: A

2. The value of Lagrange multiplier λ gives the approximate change in the objective function caused by a small change in the:

- A. constant of the constraint
B. objective function
C. variables in the constraint
D any of these

ANSWER: A

3. The first derivative measures the rate of change or ____ of a function:

- A. intercept
B. convexity
C. slope
D. concavity

ANSWER: C

4. For a cost function $TC = 3Q^2 + 7Q + 12$, MC is:

- A. $6Q$
B. $6Q + 7$
C. $3Q + 7$
Undefined

ANSWER: B

5. Marginal revenue is:

- A.the second order derivative of TR
- B.the first order derivative of TC
- C.the first order derivative of TR
- D.the first order derivative of TR

ANSWER: C

6. In Cobb Douglas Production of functions, the elasticity of Substitutions is :

- A.greater than one
- B.equal to one
- C.less than one
- D.None of these

ANSWER: B

7. Feasible solution of LPP is:

- A.Values of decision variables satisfy the constraints
- B.Values of decision variables satisfy the objective functions
- C.Values of variable satisfy the objective functions
- D.the value of the objective function

ANSWER: C

8. A production function is said to be _____, if, when each input factor is multiplied by a positive real constant k , the constant can be completely factored out:

- A.homogenous
- B.nonhomogenous
- C.additive
- D.heterogenous

ANSWER: A

9. In input-output analysis, ____ represents in monetary terms or quantitative terms all the transactions of the economic system.

- A.the transaction matrix
- B.objective functions
- C.non negativity constrains
- D.the constant matrix

ANSWER: A

10. In input-output analysis,if the exogenous sectors of the open input output model is absorbed in to the system as just another sector _____

- A.the transaction matrix
- B.a technology coefficient
- C.Leontief closed model
- D.Leontif open model

ANSWER: D

11. Given the cost function then then which one of the following is false?

- A. The marginal cost function is $1.5Q^2 - 1.4Q - 30$
- B. Average cost curve is concave up
- C. The average cost function is $0.5Q^2 - 0.7Q + 256/Q - 30$
- D. D. none of the above

ANSWER: D

12. A firm produces two products x & y. the cost of producing the products is:

$c(x, y) = 0.04x^2 + 0.01xy + 0.01y^2 + 4x + 2y + 500$. Suppose that the firm sells all its output at a per unit price of birr 15 for X and birr 9 for y. The profit maximizing level of output is

- A. 12 and 10
- B. 6 & 7
- C. 8&9
- D. None

ANSWER: D

13. Consider a monopolist firm that produces two products Q_1 & Q_2 and The total cost function is given by:

$c(Q_1, Q_2) = Q_1^2 + Q_1Q_2 + Q_2^2$, Suppose that the demands facing the firm are as follows:

$$P_1 = 55 - Q_1 - Q_2$$

$$P_2 = 70 - Q_1 - 2Q_2$$

What is profit maximizing level of output is?

- A. $Q_1=8$ & $Q_2=7.67$ B. $Q_1=9$ & $Q_2=7.67$ C. $Q_1=8$ & $Q_2=6$ D. $Q_1=10$ & $Q_2=12$

ANSWER: A

14. Given $Q = \alpha p^\beta$, where α and β are constants: the price elasticity of demand is

- A. $\alpha p^{\beta-1}$ B. $\beta \alpha p^{\beta-1}$ C. $\beta p^{\beta-1}$ D. $\beta \alpha p^\beta$

ANSWER: B

15. The linear approximation of $f(x) = \sqrt[3]{x}$ about $x=1$

$A. \sqrt[3]{x} = 1 + \frac{1}{3}(x-1)$ for x close to 2 $B. \sqrt[3]{x} = 1 + \frac{1}{3}(x-1)$ for x close to -1

$C. \sqrt[3]{x} = 1 + \frac{1}{3}(x-1)$ for x close to 1 $D. \sqrt[3]{x} = 1 + \frac{1}{3}(x-1)$ for x close to -2

ANSWER: B

16. The optimum value of $f(x, y) = 2xy + 2x - x^2 - 2y^2$ is

- A. (1, 2) B. (-1, -2) C. (2, 1) D. (1, -2)

ANSWER: C

17. Maximize utility function $U(X, Y) = XY$, subject to budget line $X+4Y=120$. then which one of the following is NOT TRUE?

- A. The optimum values that maximize utility is (60, 15)
 B. The maximum utility is 900.
 C. If the price of good X is increased to 2, then the optimum value is (30, 15)
 D. If the price of good Y is decreased to 3, then the optimum value is (15, 30)

ANSWER: B

18. When there is functional dependency among equations and hence no unique solution exists?

- A. Jaccobian determinants is positive B. Jaccobian determinants is negative
 C. Jaccobian determinants is zero D. Jaccobian determinants

ANSWER: D

19. If at optimality the slack/surplus of a constraint is zero, then the constrained is said to be:

- A. active B. binding C. inactive D. A & B **ANSWER: C**

20. Which one of the following systems of linear equation has a solution?

- A. $Z_1=4X-Y$ & $Z_2=16X^2+8XY+Y^2$ B. $Z_1 = 3X+5Y$ & $Z_2=-4X+6Y$
C. $Z_1 = 3X+5Y$ & $Z_2=-4X+6Y$ D. All

ANSWER: C

21. Consider the following national income model $Y=C+I_0+G_0$, $C=a+b(Y-T)$ and $T=d+fy$, where Y -national income, C - aggregate consumption, T - tax and a, b, d & f are constants $a, d>0$. Then the reduced form of the national income is

- A. $(a-bd+I_0+G_0)/(1-b+bf)$ B. $(a+bd+I_0+G_0)/(1-b+bf)$
C. $(a+I_0+G_0)/(1-b+bf)$ D. $(a-bd+I_0+G_0)/(1+bf)$

ANSWER: A

22. A firm produces three products Q_1, Q_2 , and Q_3 . The profit function is given by:

$\Pi(Q_1, Q_2, Q_3) = 180Q_1 + 200Q_2 + 150Q_3 - 3Q_1Q_2 - 2Q_2Q_3 - 2Q_1Q_3 - 4Q_1^2 - 5Q_2^2 - 4Q_3^2$, Then which one of the following is CORRECT about the profit?

- A. The profit function is maximized at optimal values.
B. The profit function is minimized at optimal values
C. The first Hessian determinant is positive
D. The second Hessian determinant is negative

ANSWER: A

Based on the following information answer question 23-26.

Let the $R(Q)$ and $C(Q)$ be the revenue and cost functions respectively

$$R(Q) = 1200Q - 2Q^2 \text{ and } C(Q) = Q^3 - 61.25Q^2 + 1528.5Q + 2000$$

23. The profit maximizing level of output is

- A. 6 & 36
B. 3 & 36.5
C. 20 & 33
D. 2 & 47

ANSWER: A

24. The profit function is A. $-Q^3 + 59.25Q^2 - 328.5Q - 2000$

A. $Q^3 - 59.25Q^2 - 328.5Q - 2000$

B. $Q^3 + 59.25Q^2 - 328.5Q$

C. $Q^3 + 59.25Q^2 - 328.5Q + 2000$

ANSWER: B

25. What is the maximum profit?

A. 16318.44

B. 2479.25

C. 17318.33

D. 16418.44

ANSWER: A

26. Marginal revenue is

A. $-4Q + 1200$

B. $4Q - 1200$

C. $-4Q - 1200$

D. $4Q + 1200$

ANSWER: A

27. The critical value of a given function is calculated by first order condition

A. True

B. False

ANSWER: A

28. Suppose the total cost function of a firm is given by $C = 3q_1 + 7q_2 + 1.5q_1q_2 + 6q_1 + 2q_2$.

Then which one of the following is true?

A. Marginal cost for the first product is $6q_1 - 1.5q_2 + 7$

B. Marginal cost for the second product is $1.5q_1 + 4q_2 + 4$

C. Marginal cost for the first product at $q_1 = q_2 = 10$ is 80

D. Marginal cost for the second product at $q_1 = q_2 = 10$ is 60

ANSWER: A

29. Given the production function $Q = 0.5K - 2KL + L$. Then the marginal product of labor is

- A. $2L + 2K$ B. $2L - 2K$ C. $2K - 2L$ D. $2K - L$

ANSWER: D

30. Marginal product of capital for question number 30 is

- A. $K - 2L$
B. $2L + K$
C. $3K + 2L$
D. $3L - 5K$

ANSWER: B

31. Based on question number 30 the average product at $k=10$ & $L=2$ are equal to:

- A. 30 B. 16 C. 14 D. 2

ANSWER: A

32. If the total cost function is given as follows: $TC = 15Q - Q^2$, then MC is -----

- A. $15 + Q^2$ B. $15Q - Q^2$ C. $15 - 2Q$ D. $15 + 2Q$

ANSWER: D

33. The total revenue from the sale of x units of a commodity is $R(x) = 50x - 0.05x^2$, then MR is-

- A. $50 - 0.5x$ B. $50 - 5x$ C. $50 - 0.1x$ D. $50 + 0.1x$

ANSWER: C

34. Depending on question 34, when 10 units of commodity is produced then what is then AR?

- A. 55 B. 49 C. 49.5 D. 50.5

35. Let the average cost function is $AC = Q^2 - 4Q + 8$ where Q is the level of output, then the stationary value of average cost is

- A. 2 B. 0.5 C. 4 D. 10

ANSWER: C

36. Depend on question 35 what is the minimum average cost A. 8 B. 4 C. 12 D. 20.5

ANSWER: A

37. If the demand function is given as follows $Q = \frac{4000}{0.1p + 1}$, $10 \leq p \leq 70$, where Q is quantity demanded and

p is unit price (3pts each), then the price elasticity of demand at $p=10$ is

- A. 400 B. -400 C. 100 D. -100 E. none

ANSWER: B

38. A firm produces three products Q_1, Q_2 , and Q_3 . The profit function is given by:

$\Pi(Q_1, Q_2, Q_3) = 180Q_1 + 200Q_2 + 150Q_3 - 3Q_1Q_2 - 2Q_2Q_3 - 2Q_1Q_3 - 4Q_1^2 - 5Q_2^2 - 4Q_3^2$, Then the profit maximizing level of output is?

A. $Q_1=14.5$, $Q_2=13.27$, $Q_3=11.79$

B. $Q_1=13.27$, $Q_2=11.79$ and $Q_3= 15.67$

C. $Q_1=13.27$, $Q_2= 11.79$ and $Q_3= 16.45$

D. $Q_1=11.79$, $Q_2=15.67$ and $Q_3=15.67$

ANSWER: A